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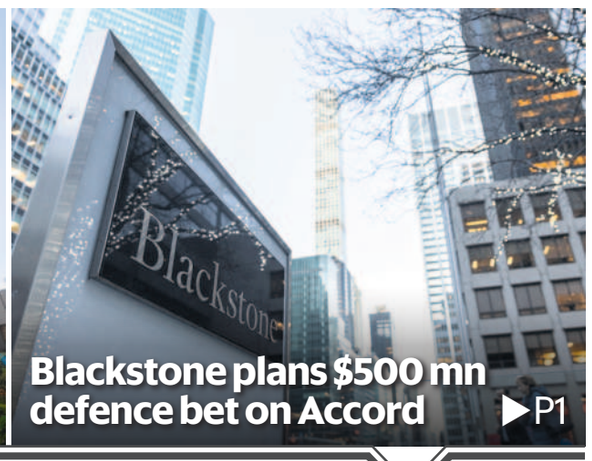
Wednesday, October 14, 2026

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For Nifty firms, Sep quarter may be best in a year ▶P1



Blackstone plans $500 mn defence bet on Accord ▶P1

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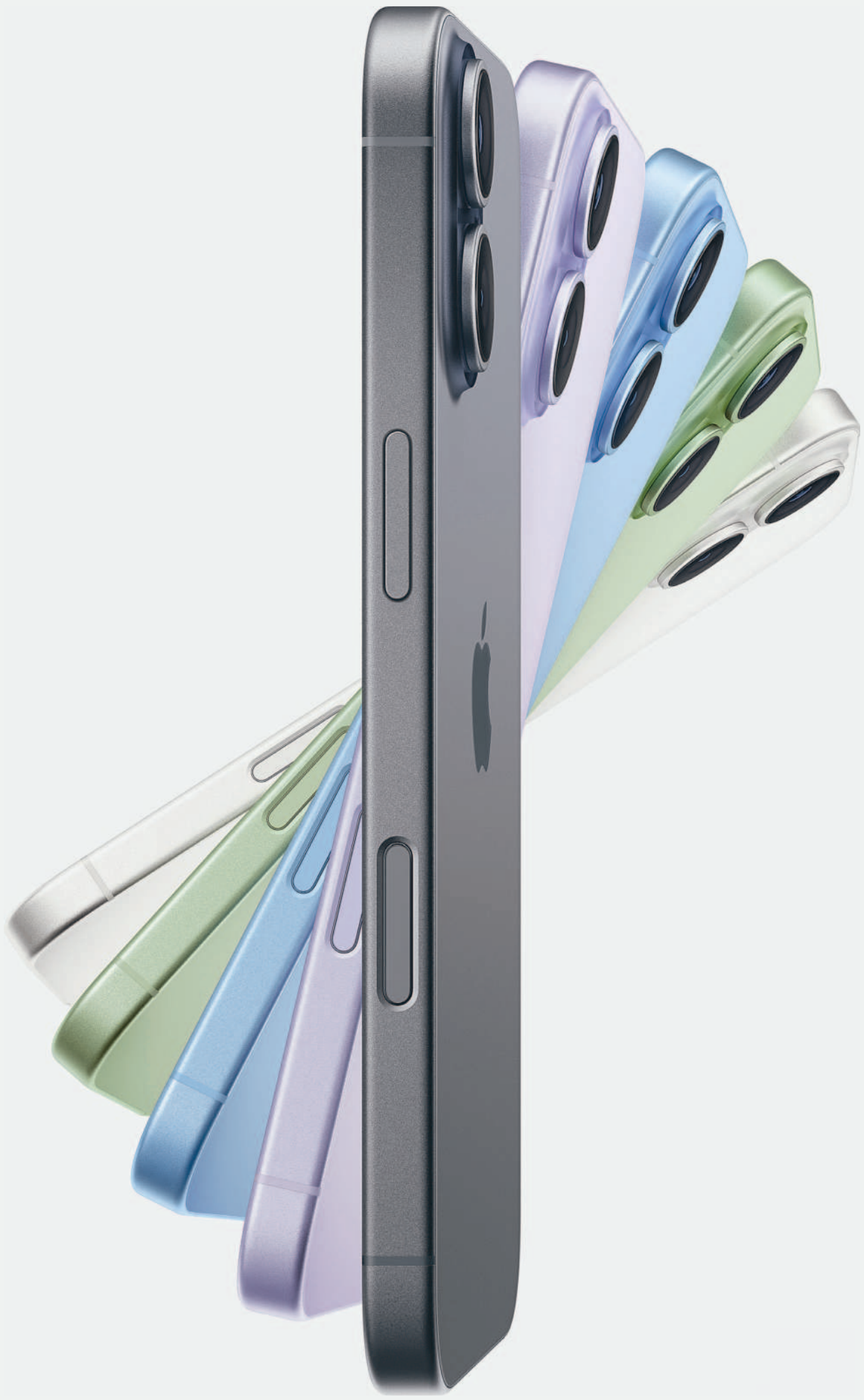
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HT BENGALURU VOL. 1 NO. 64

Wednesday, October 14, 2026

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Think Ahead. Think Growth.

mint primer

Does India have a chance to escape 100% US tariffs?

BY N. MADHAVAN

India faces up to 100% tariffs after the Lindsey O. Graham Sanctioning Russia and Iran Act became a law in the US. The law punishes countries that buy oil from Russia. Will US President Donald Trump's surprising decision to buy diesel from Russia give India a chance to escape the tariffs? *Mint* explains.

REUTERS



1 What does the new US law say?

The Lindsey O. Graham Sanctioning Russia and Iran Act of 2026 (H.R. 5334), which the US Congress passed recently, aims to deprive Russia of its oil revenues and choke its funding for the Ukraine war. US President Donald Trump signed the Bill into a law on 18 September. The newly implemented law authorizes the US president to impose tariffs of up to 100% on countries that are among the top five importers of Russian oil or gas by volume over the preceding 12 months and continue to do so 30 days after the law stands enacted. The tariffs imposed under this law will be over and above the existing levies on imports into the US.

TURN TO PAGE 6

QUICK EDIT

Beyond resilience

The International Monetary Fund's (IMF) October review of the global economy forecasts India's economy growing 7% in 2026-27 as well as 2027-28, up from its earlier projections of 6.4% and 6.7%, respectively. Given the turbulence around the world, such a pace would be impressive, at least in relative terms. For China, the IMF lowered its growth outlook to 4.5% in 2026 and 4% in 2027. That reflects weakness in its domestic economy as much as the size that China's output has already achieved: at nearly $20 trillion in 2025, roughly two-thirds of America's. More broadly, the IMF report shows that the global economy has held up despite this year's energy and other shocks. But this resilience is becoming more fragile and uneven, it noted. India, though, "stands out" thanks to its strong domestic economy, favourable demographics and sustained policy reforms. While this is good, the country needs exports to boom for faster economic expansion. Accordingly, many trade deals have been struck, but what counts, as always, is global competitiveness. As with the latest GST reforms, India's policy focus is turning to that objective. For best outcomes, it needs to be a relentless pursuit.

Available from 19th October 2026

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PLAIN FACTS

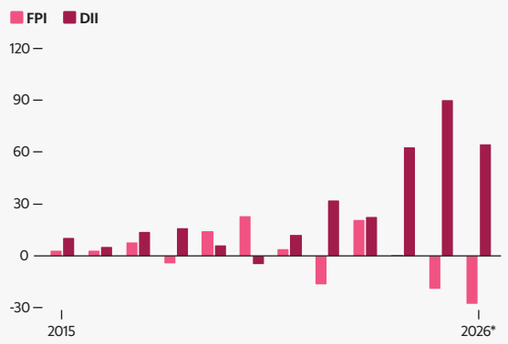
RUPEE SLIDES DESPITE DII FLOWS, FPI IPO BET

BY PUNEET KUMAR ARORA & JAYDEEP MUKHERJEE

India's equity markets are seeing a shift in investment patterns, with foreign portfolio investors (FPIs) turning net sellers and domestic institutional investors (DIIs) increasingly absorbing selling pressure. Meanwhile, FPIs continue to invest in Indian initial public offerings (IPOs), drawn by potentially more favourable valuations and exposure to emerging sectors. However, while domestic buying can support equity prices, it cannot directly offset the dollar demand generated by foreign investor selling, which has been much larger than foreign investment in the primary market, leaving the rupee vulnerable. With the US Federal Reserve and RBI raising policy rates, capital flows face competing pressures, adding to the uncertainty around Indian equities and the rupee.

Domestic investors have been offsetting foreign outflows from Indian equities

Net equity inflows (in $ billion)



*Data for 2026 is until September

Source: National Securities Depository Ltd, Motilal Oswal Financial Services | mint

DII CUSHION

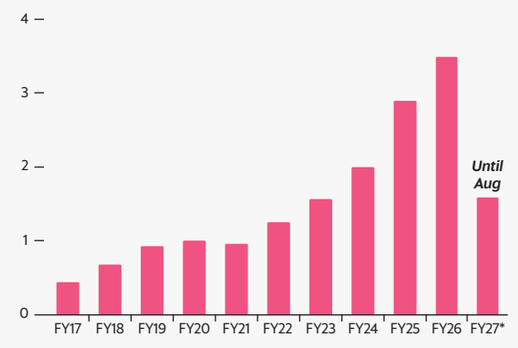
THE INVESTMENT stance of FPIs and DIIs in Indian equities has increasingly diverged over the past five years. While FPI flows have fluctuated considerably, DII investments have picked up, giving support to the stock market. The divergence was particularly pronounced in 2025, when FPIs clocked net equity outflows of $18.9 billion while DII inflows surged to a record $90.1 billion. In 2026, FPIs have net sold $27.8 billion worth of Indian equities until September, while DIIs have reportedly pumped in $64.6 billion. The foreign selloff has been driven by weak corporate earnings, high valuations, US tariffs and the rupee's depreciation against the dollar. Sustained domestic investment, supported by mutual fund contributions, has helped absorb a significant part of the foreign selling. This marks a shift from previous years, when foreign investors were a more consistent source of equity inflows. Domestic capital is, therefore, playing an increasingly important role in supporting Indian equities amid volatile global investment flows.

STEADY INFLOWS

DIIS COMPRISE mutual funds (MFs), insurance firms, banks, pension funds and other domestic financial institutions that channel domestic savings into financial markets. Mutual funds play an important role in directing household savings into equities, with systematic investment plans (SIPs) emerging as a significant mechanism for mobilizing these savings. The total amount collected through SIPs increased from ₹0.4 trillion in fiscal year 2017 (FY17) to ₹3.5 trillion in FY26. The figure stood at ₹1.6 trillion until August in FY27. By allowing investors to contribute fixed amounts to MFs at regular intervals, SIPs provide a recurring source of funds that allows MFs to sustain investment activity even when FPIs withdraw. SIP contributions are spread across a large base of domestic retail investors and are less sensitive to short-term market fluctuations than foreign portfolio flows. The growing popularity of SIPs has broadened the domestic investor base and strengthened the role of household savings in supporting Indian equities.

SIPs provide a stable source of domestic investment amid volatile foreign capital flows

Annual SIP investment flows (in ₹ trillion)

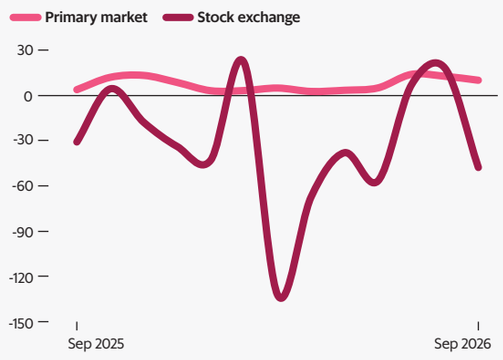


*Data for FY27 is until August

Source: Association of Mutual Funds in India | mint

Attractive IPO pricing, access to new-age firms draw FPIs to primary market

Net equity investments by FPIs (in $ billion)



Source: National Securities Depository Ltd | mint

PRIMARY PREFERENCE

WHILE FPIS have been net sellers of Indian equities in 2026, they have continued to invest substantial sums in the primary market, reflecting a growing preference for select IPO investments. Between September 2025 and September 2026, foreign investors clocked net inflows into the primary market in every month, while their secondary market investments fluctuated sharply, with outflows in most months. Expensive valuations in the secondary market are among the factors driving this. Despite global headwinds, listed equities have not corrected sufficiently to offer foreign investors more attractive entry points. IPOs,by contrast, allow investors to evaluate companies at the time of issuance and assess whether the price is attractive. They also offer access to companies in emerging sectors such as fintech, which may be underrepresented in benchmark indices. However, despite being more steady, primary market inflows have not been large enough to offset the outflows in the secondary market.

SELECTIVE FLOWS

A SECTOR-WISE analysis of FPI holdings reveals a high concentration in a handful of industries. Financial services accounted for 30.2% of FPI equity assets under custody at the end of September, followed by healthcare (8%), autos and auto components (7.5%), capital goods (7.4%), and oil, gas and consumable fuels (6.5%). Together, these five sectors accounted for around 60% of foreign investors' equity holdings, but this has not insulated them from selling pressure. From April to September, financial services saw net FPI equity outflows of ₹53,973 crore amid valuation and earnings concerns. Oil, gas and consumable fuels saw outflows of ₹37,828 crore, reflecting uncertainty over oil prices and input costs. Autos and auto components saw outflows of ₹26,049 crore as high raw material costs threatened to squeeze ' margins. In contrast, healthcare attracted net inflows of ₹5,994 crore. This divergence suggests FPIs are reassessing their sectoral exposure based on valuations, cost pressures and earnings prospects.

Five sectors account for 60% of FPI holdings, but selling pressure remains uneven

Share of FPI equity assets under custody* and net inflows in key sectors

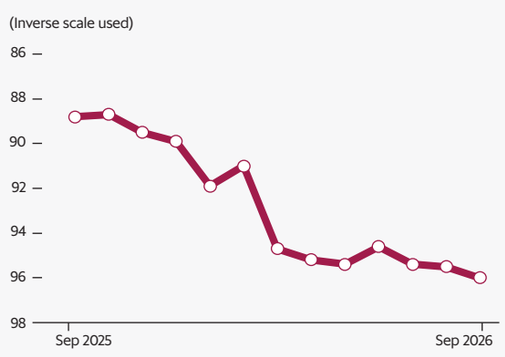
	Share* (%)	FPI net inflows (in ₹ crore, Apr-Sep FY27)
Financial services	30.2	-53,973
Healthcare	8	5,994
Automobile and auto components	7.5	-26,049
Capital goods	7.4	-4,020
Oil, gas and consumable fuels	6.5	-37,828
Information technology	5.4	-7,126

*As of 30 September 2026

Source: National Securities Depository Ltd | mint

Domestic buying has failed to insulate the rupee from FPI outflows

Rupee per dollar, monthly*



*End-of-month reference rate used

Source: Reserve Bank of India | mint

RUPEE REPERCUSSIONS

WHEN FPIS sell Indian shares, they receive rupees, which they convert into dollars to repatriate investments or redeploy capital overseas. This generates additional demand for dollars in the forex market, pressuring the rupee, particularly when other foreign exchange inflows are insufficient to offset these outflows. In contrast, DIIs and retail investors deploy funds largely in rupees. While their investments can absorb some of the selling pressure, they don't directly provide the dollars exiting foreign investors need. So, domestic buying can help support share prices without necessarily easing pressure on the rupee. Recent FPI outflows have thus contributed to the rupee's slide, alongside other factors such as US dollar movements, global interest rates and trade dynamics.

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HT BENGALURU VOL. 1 NO. 64 Rs. 15.00 18 PAGES

Wednesday, October 14, 2026

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Why India's factories struggle to keep up ▶P10



MDR on UPI only after Diwali, NPCI to set date later ▶P2

SENSEX **73,033.81** ↑ **1,109.13** NIFTY **22,721.95** ↑ **358.60** DOLLAR **₹95.28** ↑ **₹0.49** EURO **₹106.51** ↑ **₹0.57** OIL **$103.85** ↓ **$1.44** POUND **₹126.13** ↑ **₹0.61**

For Nifty firms, Q2 may be year's best

But rising costs, inflation, rates threaten growth in second half

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MUMBAI

Nifty 50 companies are set to report their strongest quarterly earnings growth in a year in the September quarter, but analysts warn that costlier commodities, inflation and interest rates could make the second half of the fiscal year a harder slog.

Net profit is expected to rise nearly 23% year-on-year in Q2FY27, but the outlook darkens after that. Elevated commodity prices, inflation at a near two-year high and rising rates threaten to weigh on demand and margins, and the full hit from higher crude has yet to reach company books. Net profit grew 11% in the June quarter.

The estimate is the average of forecasts from five brokerages, compiled by *Mint*. Cheaper crude oil in July and August flattered the quarter, particularly for oil marketing companies, Elara Securities said. Brent averaged below $90 a barrel in those two months before jumping to $109 in September. "The full cost impact may reach P&Ls (income statements) only in Q3," the brokerage said.

Metals and mining, banks, consumer durables and export-oriented automakers are expected to lead the earnings season. They are helped by firm global commodity prices, resilient domestic discretionary demand and a rebound in two-wheeler exports to Latin America, Africa and Asia.

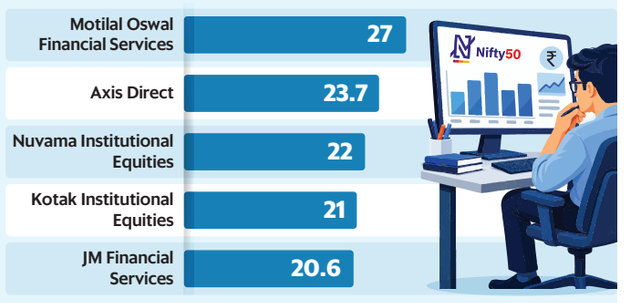
Most brokerages still expect Nifty 50 companies' net profit to grow 14-15% in FY27. Elara Securities is among the few to have cut its estimate, to 11%, citing a challenging second half. The benchmark index has fallen about 13% this calendar year, putting it on track for its first annual

TURN TO PAGE 6

QUARTER CALLS

Metals and mining, banks, consumer durables and export-oriented automakers are expected to lead the earnings season.

Brokerage estimates: Nifty 50 Q2FY27 year-on-year net profit change (in %)



Source: Brokerage reports mint

PROFIT RALLY

NET profit expected to rise nearly 23% y-o-y in Q2FY27

BROKERAGES see Nifty 50 net profit to grow 14-15% in FY27

LOW base is likely to amplify Sep-quarter growth figures

GOPAKUMAR WARRIER/MINT

Blackstone plans $500 mn defence tech bet on Accord

Sneha Shah & Priyamvada C
MUMBAI

Global private equity firm Blackstone is in talks to invest $400-500 million in Bengaluru-based defence and avionics technology company Accord Software Systems Pvt Ltd (ASSPL) for a significant minority stake, three people with direct knowledge of the matter said.

The potential deal underscores growing private equity and venture capital interest in India's defence technology sector, as rising geopolitical tensions worldwide drive demand for advanced military technologies and push countries to strengthen domestic defence capabilities.

"Blackstone is in talks to pump growth capital into the company for a significant minority stake," the first of the three persons cited earlier said, all speaking on condition of anonymity.

Founded in 1991 by five engineers with experience in avionics and real-time embedded systems, Accord has evolved from a software developer into a specialist in global navigation satellite systems (GNSS). The company designs, develops and manufactures GNSS-based products and solutions for defence and space programmes. It makes satellite navigation devices, specialised computer chips and electronic systems that help aircraft, satellites and military vehicles determine their precise location and navigate safely.



Blackstone may buy 17-20% of Bengaluru-based firm. REUTERS

"There is a growing interest among large private equity firms to invest in defence, aerospace and manufacturing technology companies," said the second person, adding that Accord sits right at the centre of this theme. Blackstone is in talks to acquire a 17-20% stake in the company, as India caps

TURN TO PAGE 6

Stocks take off as FM says open to views on LTCG tax

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Indian stocks rallied on Tuesday, with the Nifty posting its biggest gain in over two months, after finance minister Nirmala Sitharaman said the government would hear investors' views on capital gains taxation. Her remarks lifted sentiment in a market battered by sustained foreign selling, though no policy change was signalled.

The Nifty rose 1.6% to close at 22,721.95, its biggest single-day percentage gain since 3 August. The Sensex gained 1.5% to settle at 73,033.78, its strongest rise since 15 April. The rally came after the Nifty fell in eight of the previous nine weeks on heavy foreign investor selling.

Speaking at the Bloomberg New Economy Forum in New Delhi on Tuesday, Sitharaman said Indian and foreign investors had raised questions about long-term capital gains (LTCG) tax, the securities transaction tax (STT) and whether different asset classes should be taxed on a similar footing.

"The finance minister's comments have certainly

TURN TO PAGE 9

DON'T MISS



Zoho's pay freeze a sign of broader AI-led pressures

Zoho Corp. co-founder Sridhar Vembu's Tuesday warning that the company will not give salary hikes this year amid artificial intelligence (AI)-driven disruption could signal broader challenges for India's software industry. >P3

Market volatility puts investing in focus as SIP growth slows

Market volatility is slowing the growth of SIPs, even as mutual fund assets expand. The widening gap between total mutual fund folios and active SIP accounts suggests that the industry's growth is extending beyond regular monthly investments. >P4

Indian auto firms set up China bases as trade barriers mount

At least three auto and auto ancillary firms—Ather Energy Ltd, Ceat Ltd and Lumax AutoTechnologies Ltd—are looking to get closer to China's supplier base through dedicated sourcing teams or a physical presence in the country. >P7

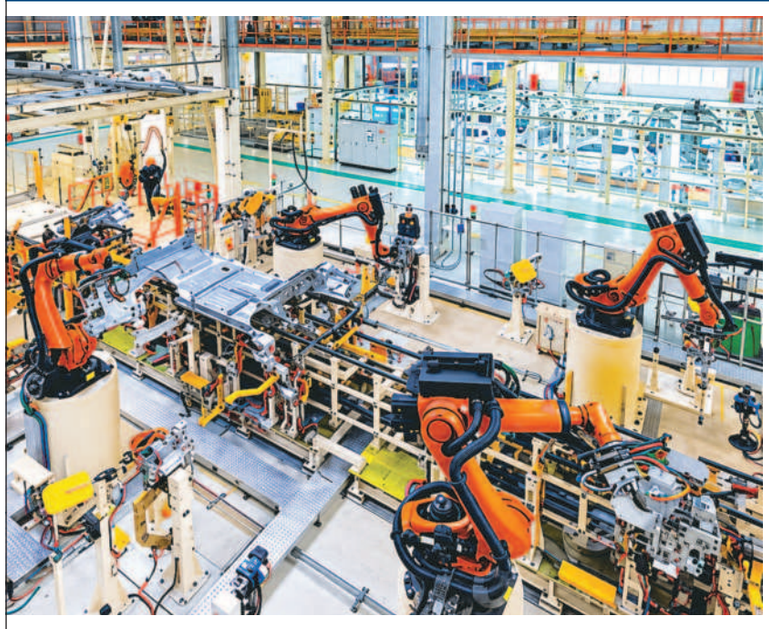
Govt picks 19 fund managers for ₹1 trillion RDI scheme

The union government's ₹1 trillion Research, Development and Innovation (RDI) Fund has selected 19 second-level fund managers in its first cohort, per the ministry of science & technology. The capital can be given through low-interest loans or equity investments. >P9

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Adfactors 440/26



PFRDA wants NPS D-remit to be treated as person-to-person transfers. MINT

PFRDA asks FinMin to free NPS deposits of UPI charges

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NEW DELHI

The pension regulator has urged the finance ministry to exempt National Pension System (NPS) contributions made through UPI from merchant transaction charges, arguing that subscribers are merely transferring money between their own accounts, according to three people familiar with the matter.

"So I am taking the argument that it is my (consumer) money going from one account to my own account. There is no merchant here. Why pay?" said one of the people aware of the development.

The Pension Fund Regulatory and Development Authority (PFRDA) has told the department of financial services (DFS) that contributions made through the NPS Direct Remittance (D-Remit) facility should be treated as person-to-person transfers rather than merchant payments.

In response to *Mint's* queries, PFRDA confirmed the development. "PFRDA has written to DFS in the month of October, 2026, with a request for treating UPI transactions undertaken through D-remit for NPS contributions as P2P transactions and keeping them outside the MDR framework," it said.

Queries sent by *Mint* on Sunday evening to the finance ministry, the DFS secretary, the finance minister's office and the National Payments Corporation of India remained unanswered until press time.

The request comes amid the deferment of the revised UPI merchant discount rate (MDR) regime, which was scheduled to take effect on 15 October. Under the proposed framework, eligible merchant payments above ₹2,000 would attract a charge, while person-to-person transfers would remain free.

NPS has 23.4 million subscribers and manages assets worth ₹17.36 trillion, according to latest data.

For an extended version of this story, go to livemint.com.

NPCI defers levy of merchant charges on UPI transactions

The Centre has not announced any new date for implementation but it is likely after Diwali

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NEW DELHI

The introduction of charges on select Unified Payments Interface (UPI) transactions has been deferred until after Diwali, giving merchants a reprieve during the festive shopping season as the proposed fee structure faced resistance from trade bodies.

A fresh implementation date will be announced separately, the National Payments Corporation of India (NPCI) said in a statement on Tuesday, citing a decision by its UPI and Services Steering Committee to defer the charges in view of the festive season.

"UPI and Services Steering Committee today decided that, keeping in mind the festive season, Merchant Discount Rate (MDR) on select Person-to-Merchant (P2M) UPI transactions, shall be implemented immediately post Diwali at a date to be notified separately," NPCI said.

Diwali, which falls on 8 November this year, is typically a peak period for consumer spending in India. The levy was scheduled to take effect on 15 October, following the announcement of the revised framework on 15 September. Its introduction would mark the return of MDR on select UPI transactions after the charge was scrapped in January 2020.



The deferral comes weeks after NPCI said it was unlikely to make immediate changes to the fee structure and would wait for more data before reviewing it. REUTERS

0.4% MDR proposed on P2M transactions over ₹2,000

15 Oct Date MDR charges were scheduled to kick in originally

Under the framework announced on 15 September, an MDR of 0.4% was to apply to eligible P2M UPI transactions exceeding ₹2,000, subject to a maximum charge of ₹300 for transactions of ₹75,000 and above. MDR is the fee merchants pay for processing payments.

Person-to-person (P2P) transactions, irrespective of value, were to remain exempt, as were merchant payments of up to ₹2,000. Small merchants covered under the person-to-person merchant (P2PM) framework, including street vendors, neighbourhood shops and micro businesses receiving up to ₹1 lakh a month through UPI QR codes directly into their bank accounts, were also to be exempt.

The framework also prescribed concessional rates for certain sectors. Transactions exceeding ₹2,000 in specified essential and low-margin categories, including railways, telecommunications, insurance, fuel, agricultural inputs, utilities and education, were to attract a flat MDR of ₹5.

For capital-market-related transactions, including payments involving mutual funds, securities, stockbrokers and dealers, the MDR was fixed at 0.02%, subject to a maximum of ₹300.

UPI has become the preferred mode of digital transactions for millions of Indians, processing billions of payments every month. According to NPCI data, UPI transactions totalled 24.07 billion in September, with a combined value of ₹29.37 trillion. This was down 1.8% in volume and 1.5% in value from August, when the platform recorded 24.51 billion transactions worth ₹29.82 trillion. Year-on-year, however, transaction volume rose nearly 23% and value increased about 18%.

The deferral comes weeks after NPCI said it was unlikely to make immediate changes to the fee structure. The charges are needed to fund investments in technology, cybersecurity and infrastructure, particularly as UPI transaction growth has slowed and investment in the ecosystem has declined, managing director and chief executive officer Dilip Asbe had earlier said at an event.

"UPI has led to a significant reduction in cash usage among small and marginal self-employed individuals, providing transaction trails that offer insights into their incomes and use of funds. This has enabled banks and NBFCs to lend to a segment that was earlier excluded. At the same time, payment services entail significant capital and recurring expenses, which MDR seeks to compensate for. Over time, convenience and competition will help MDR settle at a level acceptable to the ecosystem, despite the current resistance," said Sanjay Agarwal, senior director, CareEdge Ratings.

IMF raises India's growth forecast for current fiscal to 7%

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NEW DELHI



IMF has also raised India's FY28 projection to 7%. REUTERS

The International Monetary Fund (IMF) has raised India's economic growth forecast for the current fiscal year by 60 basis points to 7%, citing stronger-than-expected economic momentum, resilient domestic demand and robust services activity. The upgrade comes even as geopolitical tensions and elevated energy prices pose risks to the global economy.

In its latest World Economic Outlook (WEO), released on Tuesday during the Fund's annual meetings in Bangkok, the IMF raised its projection for India's gross domestic product (GDP) growth in fiscal year 2027 (FY27) to 7% from 6.4% estimated in July. It also raised its FY28 forecast to 7% from 6.7%, signalling expectations of sustained economic momentum.

The revision reverses the IMF's July downgrade, when it cut its FY27 projection by 10 basis points to 6.4% from 6.5% in April, citing higher energy prices and their potential pass-through to domestic fuel prices. Stronger-than-expected economic activity and consumption have since helped offset concerns over the West Asia war, crude oil prices and global uncertainty.

Other institutions have also turned more optimistic. The Reserve Bank of India (RBI) earlier this month raised its FY27 real GDP growth forecast to 7.1% from 6.7% in August and 6.6% in June.

The World Bank last week raised its forecast by 50 basis points to 7.1%. Paris-based Organisation for Economic Cooperation and Development (OECD) raised its projection by 80 basis points to 7.1% last month. The Asian Development Bank, S&P Global Ratings and Fitch Ratings have also raised their growth expectations to around 7%, citing robust June-quarter activity and resilient domestic demand.

The latest projections suggest broad agreement that India will remain among the fastest-growing large economies, though growth will depend on domestic demand and the impact of external shocks on prices, investment and trade.

For an extended version of this story, go to livemint.com.

FM says capital gains tax debate healthy, keen to hear views

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Finance minister Nirmala Sitharaman on Tuesday acknowledged the debate over long-term capital gains (LTCG) tax and securities transaction tax (STT), as well as the rupee's decline, while expressing confidence that private investment in India was reviving.

With preparations for the Union budget for 2027-28 underway, Sitharaman declined to indicate whether the government would consider changes to LTCG tax or STT.

"We are very close to the budget, and the preparation for the budget has started. And it may not be the best time for me to say what I will or what I will not consider. So I'll tread cautiously on that," Sitharaman said at the *Bloomberg's New Economy Forum*.

She said investors in India and abroad had commented on the LTCG tax, while the coexistence of capital gains tax and STT remained a subject of debate. "It's healthy to have this debate, and I will be keen to hear them," she said.


Finance minister Nirmala Sitharaman. BLOOMBERG

On the rupee, Sitharaman acknowledged that the currency had depreciated significantly over the past one-and-a-half to two years. She said the Reserve Bank of India (RBI) was seeking to curb volatility rather than defend a particular exchange rate. "They are not trying to fix the rupee; they are trying to stop the volatility," she said.

She attributed much of the pressure on the currency to external challenges, while adding that India's macroeconomic fundamentals remained sound. The Centre would maintain fiscal discipline without compromising spending on welfare, education and healthcare, she said.

Sitharaman also expressed confidence that private investment was picking up, with domestic companies strengthening their balance sheets and attracting capital.

"Today I can say with confidence that private capital is moving in. India's domestic private capital is moving in, and it's also attracting private capital from elsewhere," Sitharaman said.

India had gone through a difficult phase after 2013-14, when poor asset management and companies' inability to repay loans weakened corporate and banking balance sheets. The government subsequently undertook banking-sector reforms, while companies reduced debt and cleaned up their balance sheets, she said.

For an extended version of this story, go to livemint.com.

NIIF plans $600 mn e-mobility platform

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NEW DELHI



INTERVIEW

National Investment and Infrastructure Fund (NIIF) managing director and chief executive Sanjiv Aggarwal has laid out an ambitious growth road map for India's sovereign wealth fund. In his first media interview since taking charge in January 2024, Aggarwal said that NIIF plans to set up a $600 million e-mobility platform, Avega, and is seeking anchor investors for a Green Transition Fund targeting up to $1 billion. The fund is also preparing to dilute a 40% stake in its power transmission platform, AnantGrid Pvt. Ltd, to a co-sponsor.

Aggarwal, who previously oversaw global private equity firm Actis's energy investments in Asia, also talked about not funding a Large Language Model AI play. *Edited excerpts:*

With over two-and-a-half years now at NIIF's helm, how has the experience been, given that this is your first stint in the government sector?

The experience has been very good. When I started the job, I did so with some trepidation.

I never worked in government, didn't know its ways, and always had this little fear: for someone who spent his entire career in the private sector, how would a job be where the government is a large shareholder? But in my last two and a half years, and I say this to people, I think the government has been extremely supportive. They have put together a framework within NIIF that, while NIIF is a 49%-government-owned company, allows it to operate as a pure commercial investor. It gives me, as a CEO (chief executive officer), the powers, authority, and discretion to run this company as a global private equity firm would.

How difficult is it now to raise money?

See, first, in terms of raising money, raising commercial money has always been difficult. It's never easy for people from growth markets like India to raise money from external commercial entities. In today's environment, I will argue that it's become even more difficult. Look at the global macros. Countries such as India benefit from a strong domestic economy. People know that India needs infrastructure. There is a whole lot of demand domestically for infrastructure. Therefore, people are still willing to consider investing money. But this kind of a tough macro makes things challenging.

> We just did the first close of our second infra fund at ₹20,000 crore, or $2 billion. Our target is $3.2 billion.
> **Sanjiv Aggarwal**
> Managing director and chief executive, NIIF

The other point that works in our favour is that when I go out to raise money, I say that the government approved ₹30,000 crore in July. So there is a 49% anchor who has already written a commitment for this kind of amount. On the back of that, and the track record of NIIF and its team, we go out, raise money, and are successful. We just did the first close of our second infra fund at ₹20,000 crore, or $2 billion. Our target is $3.2 billion. But I will not underplay how difficult the fundraising market is. This market is, in my opinion, going to become more challenging because countries like Canada are now taking whatever steps are needed to attract foreign capital.

Is there some conversation happening for a new climate fund?

So, look, right now we have to invest this fund ($600 million India-Japan Fund). We expect to complete this investment within the next 18 months.

For an extended version, go to livemint.com.

MINT SHORTS

Railways' Sep freight loading rises 6.1%, revenue up 9.3%

New Delhi: Indian Railways' freight loading rose 6.14% year-on-year to 135.35 million tonnes (mt) in September, from 127.52mt a year ago, driven by growth across key commodity segments, data released by the ministry of railways on Tuesday shows. Freight revenue during the first half of the current fiscal year grew 3.7%, the ministry said. **SUBHASH NARAYAN**

MINT


PMS rules widen investment scope for portfolio managers

New Delhi: The Securities and Exchange Board of India (Sebi) has notified the portfolio management services (PMS) framework, allowing portfolio managers to invest in initial public offerings (IPOs), primary market debt issuances, and a wider range of overseas securities, while introducing a separate route for them for investing in mutual funds. The Sebi (Portfolio Managers) Regulations, 2026 will become effective from 1 April 2027. **PTI**

Large biz must help MSMEs upgrade: MSME secretary

New Delhi: India's vast base of micro, small and medium enterprises (MSMEs) need larger companies to do more than buy from them; they must help smaller suppliers upgrade technology, develop skills and move up the value chain, Bharat Khera, secretary, ministry of micro, small and medium enterprises said on Tuesday. The push comes as India seeks to expand manufacturing and raise export competitiveness. **MANAS PIMPALKHARE**

PIB


India offers stability amid global uncertainty: PM

PTI


New Delhi: Prime Minister Narendra Modi on Tuesday said India offers reliability and stability at a time when the global economy is grappling with geopolitical conflicts, supply chain disruptions and growing uncertainty, highlighting the country's economic resilience, strong banking system and continued commitment to structural reforms. **HARSH KUMAR**

India's state borrowing costs spike to over six-year high

ISTOCKPHOTO


Mumbai: Borrowing costs for the most liquid part of India's state government bond curve breached the 8% handle for the first time in over six years on Tuesday, said traders, tracking a sharp spike in central government yields and weakening investor appetite. **REUTERS**

Trump 'symptom' of global order breaking down: Sunak

The US-led global order "is over" and the world is facing heightened geopolitical uncertainty, former UK prime minister Rishi Sunak said on the first day of *Bloomberg's New Economy Forum* in New Delhi on Tuesday. President Trump is "not a cause of that, he's a symptom," Sunak said and added the world is adjusting to a new reality, with China as a competitor to the US. **BLOOMBERG**

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First published in February 2007 to serve as an unbiased and clear-minded chronicler of the Indian Dream.

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MINT SHORTS

India can play major role in global chip supply chain: Tata's Chandra

New Delhi: Semiconductors will be fundamental to India's future, and the country is well placed to emerge as a key part of the global supply chain, given its talent pool, large domestic market and potential international partnerships, Tata Sons chairman N. Chandrasekaran said on Tuesday. Speaking at the 2026 Bloomberg New Economy Forum, he said businesses need to prioritize resilience over efficiency in an increasingly unpredictable global environment, as geopolitical tensions, artificial intelligence disruption, commodity pressures and supply-chain crises converge. **PTI**

Nilekani dismisses fears of job losses in IT sector caused by AI

BLOOMBERG



New Delhi: Infosys co-founder Nandan Nilekani on Tuesday dismissed fears that artificial intelligence (AI) would wipe out jobs in India's information technology (IT) services sector as "hogwash" and "disaster marketing to suit the interests of large capital." Speaking at the Bloomberg New Economy Forum, Nilekani was responding to International Monetary Fund managing director Kristalina Georgieva's description of AI as a "slow-moving tsunami" that could wipe out demand for many workers by taking over routine tasks. **PTI**

GreenCell gets ₹330 cr investment from Impact Fund Denmark

Mumbai: Eversource Capital-funded electric bus platform GreenCell Mobility has secured ₹330 crore equity investment from Impact Fund Denmark, which will help it roll out an additional 4,500 e-buses in the next six to eight quarters, the company said on Tuesday. The induction of the additional buses will take the total number to over 6,000 across 105 cities in the country, a company spokesperson told *PTI*. **PTI**

Fintech funding rises 14% to $2.2 bn in Jan-Sep, deals drop 41%: report

New Delhi: Indian fintech companies raised $2.2 billion in January-September 2026, up 14% from a year earlier, even as the number of funding rounds fell 41% to 153 from 260 a year ago, with five deals of $100 million or more making up nearly half the total, data intelligence platform Tracxn said in a report. **PTI**

Zoho's pay freeze a sign of broader AI-led pressures

Mint review of other software, SaaS firms' financials signals near-term profitability concerns

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NEW DELHI

Zoho Corp. co-founder Sridhar Vembu's Tuesday warning that the company will not give salary hikes this year amid artificial intelligence (AI)-driven disruption could signal broader challenges for India's software industry.

As Zoho's profits came under pressure amid a sharp rise in employee costs, *Mint*'s review of the financials of software and software-as-a-service (SaaS) firms Darwinbox, TestMu (formerly LambdaTest) and LeadSquared also signals near-term profitability concerns across the information technology industry.

Darwinbox, which makes human resource (HR) management software, saw its net loss widen to ₹179 crore in fiscal year 2025 (FY25), according to the latest available financials. TestMu, which automates software development and testing processes, reported flat revenue and profit in FY25—with its earnings stagnating as generative artificial intelligence (AI) automated software testing. LeadSquared, which makes customer relationship management software, is the only one to have bucked the trend—reporting a 17% year-on-year revenue growth in FY25 and cutting its losses by 39%, while reducing employee costs by 8.5% during the fiscal.

Zoho reported a 3% fall in net profit while employee costs rose 29% in FY25.

Software firms have come under pressure as AI automates an increasing range of business processes. In 2026, industry consortium SaaSBoomi dropped its annual growth projections for the sector for the first time in six years, a shift from its outlook just a year earlier when it projected India's SaaS industry would reach $50 billion in annual revenue by 2035.



Zoho co-founder and chief scientist Sridhar Vembu.

Founded in 1996 in New Jersey, US, as AdventNet before being renamed in 2009, Zoho makes email, enterprise resource planning and workplace software for businesses. Vembu led the company as its chief executive officer (CEO) until January 2025, before stepping down to take the role of chief scientist.

At the time, Vembu said his focus will be on research and development as AI impacted the business. On Tuesday, Vembu said in a post on X that Zoho would freeze salary hikes this year as software firms grapple with AI-driven automation and cost pressures.

"We have cut down on our marketing budget. We have also told our employees that we cannot have our usual pay increase this year. I have apologized for not being able to avoid this. We will work hard to avoid mass layoffs but the outlook for software jobs in general is grim. We have not been growing our employee count for 18 months now," Vembu posted on X.

Zoho, which employs more than 30,000 people, is not the only software company grappling with AI's growing impact on the information technology (IT) business landscape. San Mateo, California-based Freshworks, co-founded by former Zoho employee Girish Mathrubootham, laid off 11% of its workforce, or about 500 employees, on 5 May as part of a restructuring aimed at adapting its workforce to AI. In July 2025, Freshworks CEO Dennis Woodside told *Mint* in an interview that the company was changing its hiring strategy and repurposing existing employees as automation increasingly transforms how its software products are built and maintained.

Zoho reported ₹12,313 crore in operating revenue and ₹3,191 crore in net profit in FY25—its last filed financials with the ministry of corporate affairs.

Kashyap Kompella, founder of AI consultancy firm RPA2AI Research, said the advent of AI could put significant margin pressure on companies like Zoho in the near term.

"Most of Zoho's business model for its software against top tech companies is that of low-cost products. With automation lowering the cost of internal technology operations with clients, Zoho may be faced with having to compromise margins to retain clients—thus putting its immediate business at risk," he said.

Zoho's profitability has come under pressure since FY23, the year OpenAI brought generative AI into the mainstream with the launch of ChatGPT in November 2022. While Zoho's profitability rose 3% in FY23, its employee costs jumped 49%. The story was somewhat similar in its latest reported fiscal, i.e. FY25, while employee costs rose 29%, profit fell 3%.

Mint could not ascertain whether Zoho's profitability declined further in FY26, as the company's filings for the year were not available. Zoho did not respond to a detailed questionnaire emailed by *Mint* .

For an extended version of this story, go to livemint.com.

AUTOMATION PRESSURES

SOFTWARE firms have come under pressure as AI automates a range of business processes

ZOHO is not the only software firm grappling with AI's growing impact on the IT sector

FRESHWORKS laid off 11% of its staff as part of restructuring aimed at adapting its workforce to AI

IN FY25, Darwinbox's net loss widened to ₹179 crore while TestMu reported flat revenue and profit

SpaceX IPO fuels record investment in space cos

Bloomberg
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Investment in the space economy is on track to exceed $100 billion for the first time ever in a given year in 2026, fueled by SpaceX's blockbuster initial public offering, defense spending and space infrastructure.

The prediction stems from a new analysis of third quarter spending from Space Capital, an investment firm. On top of quantifying the sheer amount of investment, the report also notes that more space companies are reaching unicorn status than ever before.

"We all thought that 2021 was this crazy hot market," Chad Anderson, chief executive officer of Space Capital, said, referring to the blank-check deal frenzy of the time. "It looks like a blip compared to what's happening now."

To explain the surge, all roads lead back to SpaceX.

Anderson said its record-setting IPO this summer may have led investors to revalue other space companies, viewing them as more essential than they might have before.

However, SpaceX is having an impact beyond its IPO. Iys intention to sunset its Falcon 9 workhorse in the years ahead creates the threat of a rocket shortage that is fueling investments in SpaceX alternatives.

Launch startup Stoke Space Technologies, for instance, announced that it had raised $1 billion to fuel development of a larger variant of its reusable Nova rocket. Blue Origin LLC also raised $10 billion for the first in 26 years. "It is the best thing to happen to the launch industry," Anderson said.

Dating-app company Bumble in advanced talks to go private at $1 billion valuation

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Bumble, the dating-app company founded by Whitney Wolfe Herd, is in advanced talks to be taken private in a deal that values it at roughly $1 billion, according to people familiar with the matter.

The details

The buyer is Ithaca Holdings, a firm founded recently by two Silicon Valley executives, the people said. Bumble would be one of the first major moves for Ithaca, which plans to apply advanced technologies including artificial intelligence to its investments.

Bumble had a market value of around $335 million as of Friday's close. Its shares have dropped over 90% since it went public in 2021. The shares were briefly halted Monday after The Wall Street Journal reported on the deal talks and then jumped around 50%, giving it a market value of around $580 million.

Wolfe Herd founded Bumble in 2014 after having co-founded Match Group's Tinder. She is expected to roll at least part of her stake in the dating app as part of the deal and remain involved with the company, the people said.

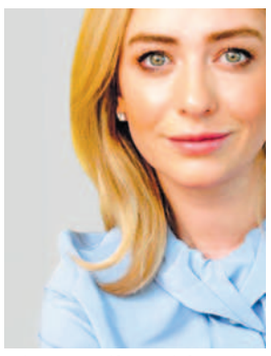
THE WALL STREET JOURNAL.

Private-equity firm Blackstone was one of Bumble's early backers and bought a majority stake in 2019. It sold much of its stake down following Bumble's IPO but still owns a roughly 14% stake, according to FactSet.

A deal could come as soon as this week, assuming talks don't fall apart.

The context

When Wolfe Herd founded Bumble, she sought to turn the traditional dating dynamic on its head by creating a platform on which women initiate conversations. The idea created buzz, with the company's market value peaking at above $14 billion following its IPO.



Whitney Wolfe Herd, founder of the dating-app company.

But Bumble and other dating-app companies including Match Group have struggled as younger users are increasingly turned off by online dating platforms. Wolfe Herd returned as Bumble's CEO in 2025, and a few months later the company laid off roughly 30% of its staff.

At Match, increased revenue from the dating app Hinge partly offset roughly flat revenue from Tinder, its largest app, in the second quarter. At Bumble, meanwhile, both Bumble and Badoo, the company's other app, reported revenue drops. Both companies have been more deeply integrating AI into their businesses. In August, Bumble said it would drop its women-first messaging feature.

Ithaca, which says on its website its mission is to "use frontier technology to build products to meaningfully improve people's lives," was founded by Ravi Gupta and John Hegeman. Gupta is a partner at venture-capital firm Sequoia Capital and the former chief financial officer of Instacart. Hegeman is a former executive of Meta , where he was most recently chief revenue officer.

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Fundamentum bumps up deeptech fund

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BENGALURU

Fundamentum Frontier Advisors (F2A), the Nandan Nilekani-anchored deeptech investment firm, is increasing the domestic allocation of its maiden fund by ₹500 crore to ₹2,500 crore after stronger-than-expected demand from local investors, underscoring growing interest in a sector that has traditionally struggled to attract capital.

The firm is now targeting a total ₹3,500 crore fund, up from its original ₹3,000 crore plan, with the additional capital coming from domestic limited partners (LPs), its top executives told *Mint*. The remaining ₹1,000 crore is allocated to an offshore vehicle.

"We've seen a lot of demand from domestic limited partners, which is why we've increased this portion to about by an additional ₹500 crore," Vivek Singla, general partner at F2A, said in an interview. "We're hoping to hit the new hard cap in a few weeks to a month or two."



F2A is increasing the domestic allocation of its maiden fund by ₹500 crore to ₹2,500 crore. ISTOCKPHOTO

LPs are investors that commit capital to venture funds, leaving fund managers to make investment decisions on their behalf. F2A's domestic LP base includes institutions, family offices and high-net-worth individuals. The pace of fundraising is notable for a fund targeting deeptech, where firms often require substantial capital and longer development cycles before generating returns.

It announced the fund in May, after receiving approval from India's markets regulator at the end of April. It began approaching LPs in June.

The fundraising momentum comes as venture investors increasingly turn to firms developing proprietary technology, even as the capital requirements and long gestation periods make it a challenging proposition.

Deeptech startups raised $1.7 billion in 2025, according to Tracxn data, compared with $2 billion in 2024. Funding has already reached $2.7 billion so far this year. The shift extends beyond specialist deeptech funds. Domestic growth investors, which have typically stayed away from the sector, are now looking more closely at opportunities, as *Mint* reported earlier.

For an extended version of this story, go to livemint.com.



BSE Sensex		Nifty 50		Nifty 500		Nifty Next 50		Nifty 100		BSE 150 MidCap		BSE 250 SmallCap	
CLOSE	PERCENT CHANGE	CLOSE	PERCENT CHANGE	CLOSE	PERCENT CHANGE	CLOSE	PERCENT CHANGE	CLOSE	PERCENT CHANGE	CLOSE	PERCENT CHANGE	CLOSE	PERCENT CHANGE
73,033.78	1.54	22,721.95	1.60	22,090.00	1.22	68,927.95	0.84	23,768.30	1.46	16,086.94	0.92	6,987.27	0.43
PREVIOUS CLOSE	OPEN	PREVIOUS CLOSE	OPEN	PREVIOUS CLOSE	OPEN	PREVIOUS CLOSE	OPEN	PREVIOUS CLOSE	OPEN	PREVIOUS CLOSE	OPEN	PREVIOUS CLOSE	OPEN
71,924.68	71,951.73	22,363.35	22,364.15	21,822.75	21,818.90	68,351.70	68,182.15	23,426.15	23,415.90	15,939.81	15,952.83	6,957.58	6,967.80
HIGH	LOW	HIGH	LOW	HIGH	LOW	HIGH	LOW	HIGH	LOW	HIGH	LOW	HIGH	LOW
73,045.67	71,703.56	22,721.95	22,288.45	22,090.50	21,721.50	68,934.30	67,717.00	23,768.70	23,322.00	16,089.13	15,880.88	6,990.85	6,896.83

HCL Tech: growth vs valuation

Harsha Jethmalani
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HCL Technologies' shares rose 8.4% on Tuesday after some brokerages raised earnings estimates following its September-quarter (Q2FY27) results. However, macroeconomic uncertainty and a cautious outlook temper the optimism.

Sequential constant-currency (CC) revenue growth of 2.3% fell short of the 2.7% consensus estimate. Larger peer Tata Consultancy Services (TCS) reported 0.5% growth, while Infosys is yet to announce its results.

HCL's software business dragged, with revenue down 5.8% sequentially in CC, while services grew 3%. Fewer multi-year licence renewals weighed on software revenue, although management said the decline did not reflect the business's underlying health. Services growth included contributions from HPE Telco Solutions and Jaspersoft acquisitions. Inorganic growth will remain important in fiscal year 2027 (FY27). HCL raised its services revenue growth guidance to 3-4% year-on-year from 1.5-4.5%, and overall revenue growth guidance to 2.5-4% from 1-4%. The latter includes an estimated 87 basis points (bps) contribution from acquisitions.

"Consequently, the guidance midpoint increased by 75 bps to 3.25% from 2.5%. However, after adjusting for inorganic growth, this implies a modest reduction in the midpoint of organic growth guidance," said Systematix Shares and Stocks (India). The revised range implies a 1.5–3.5% compound quarterly growth rate over Q3–Q4FY27 and Systematix expects HCL to outgrow the industry in FY27.

Despite healthy demand towards the end of Q2, management remained cautious about the second half. The $1.14 billion Mercedes-Benz mega deal won in July could start contributing only in Q1FY28. Weakness in major telecom accounts and a top manufacturing account has materialized, while discretionary telecom spending remains uncertain, HCL said.

New deals TCV (total contract value) improved to $3.26 billion from $2.41 billion in Q1FY27. This was the second-highest deal wins TCV seen in Q2. Deal wins were broad-based, with AI a central theme. Advanced AI revenue touched $219 million, accounting for about 6% of total revenue and nearly half of incremental revenue.

Ebit (earnings before interest and tax) margin expanded 130 bps to 18.2%, beating expectations despite restructuring costs. Project Ascent, operating leverage and higher-margin advanced AI offerings helped. HCL retained FY27 Ebit margin guidance of 17.5-18.5%, having factored in the impact of wage hikes—80 bps in Q3 and 60 bps in Q4.

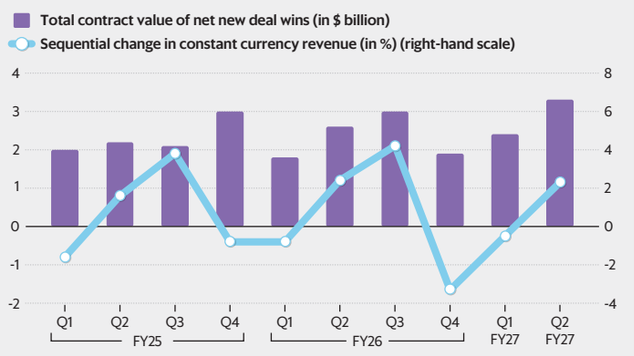
HCL's shares have fallen 19% so far in 2026, though TCS and Infosys have declined more. At 17 times FY28 estimated earnings, HCL trades at a premium to both peers, according to *Bloomberg* data. The premium reflects its relative earnings edge.

Jefferies India counts HCL among the few large IT firms offering visibility of more than 5% CC revenue growth in FY28. But AI-led deflation remains a risk, and the valuation could come under pressure if growth disappoints.

Its strategy of proactively transforming services with a long-term view, even by disrupting existing revenue base, is prudent. However, this will cause near-term pressures similar to peers, said Ambit Capital.

Hit and miss

HCL Technologies' Q2FY27 revenue growth missed expectations, even as deal wins were robust and broad-based.



Source: Company, PL Capital

mint

PRATEEK KUMAR/MINT

LINGERING RISKS

HCL may see slower H2 as its $1.14 billion Mercedes-Benz deal starts contributing in Q1FY28

WAGE hikes may hit margins by 80 bps in Q3 and 60 bps in Q4, as already factored into HCL's guidance

ICICI Pru AMC Q2 : market volatility curbs profit growth

Ananya Roy
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ICICI Prudential Asset Management Co. (AMC) reported 16.3% year-on-year growth in operating revenue in the September quarter (Q2FY27) to ₹1,674 crore, driven by industry-beating assets under management (AUM) growth and a high-yielding asset mix. Net profit, however, rose just 6.1% to ₹889 crore as lower other income weighed on earnings.

Quarterly average AUM surged 13.7% to ₹12.4 trillion, led by mutual funds, which expanded 14.4% to ₹11.6 trillion. Equity hybrid and equity schemes grew 19.7% and 16.3%, respectively, helping the AMC retain a 13.3% market share in actively managed funds and 26.4% in equity-oriented hybrid funds.

Alternative investments also grew strongly, albeit on a smaller base. AIF AUM rose to ₹0.24 trillion in September 2026 from ₹0.19 trillion a year earlier, adjusted for assets transferred from ICICI Venture. PMS AUM increased to ₹0.31 trillion from ₹0.25 trillion.

The alternatives business could could get a further boost from the acquisition of ICICI Securities' PMS business and the launch of the AMC's fifth specialized investment fund (SIF). Growth in higher-yielding products also helped revenue outpace AUM growth.

Fee and commission expenses rose 30% year-on-year, tempering operating profit growth to 15.7% at ₹1,181 crore. Net profit was further hit by a 76.5% plunge in other income to ₹17 crore, as mark-to-market losses on treasury holdings offset operating gains.

Volatile markets pose challenges, given its reliance on equity-focused schemes despite its push into alternatives.

Systematic investments declined for the second consecutive quarter in Q2FY27, while asset gathering appears to have become more expensive, as reflected in the 30% year-on-year rise in fee and commission expenses.

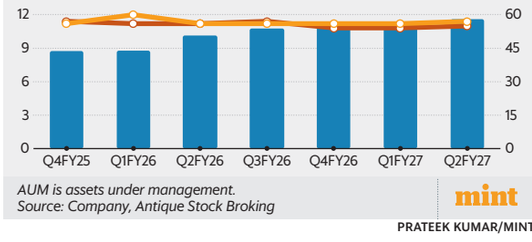
Other trends that warrant caution include an industry-wide shift towards lower-yielding index funds and the diminishing sheen of international advisory.

Higher yields have also weighed on the business, reflected in a 9% decline in debt fund AUM to ₹1.81 trillion.

Following a 12% rally so far in 2026, the stock trades at 35 times FY28 estimated earnings, according to *Bloomberg* data, leaving little room for further market shocks.

Relative strength

ICICI AMC's mutual fund AUM has been scaling up, led by industry-leading share of equity funds.



AUM is assets under management.
Source: Company, Antique Stock Broking

mint

PRATEEK KUMAR/MINT

Mark to Market writers do not hold positions in the companies discussed here unless otherwise informed

MahaTransco said to pick Axis Capital for ₹10,000 cr IPO

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The share sale is expected to comprise a mix of fresh issue and an offer for sale. MINT

Maharashtra State Electricity Transmission Co. (MahaTransco), the power utility owned by the state's electricity board, is liekly to have picked Axis Capital Ltd to lead a planned initial public offering (IPO) expected to raise around ₹10,000 crore (about $1 billion), according to two people familiar with the matter.

Besides Axis Capital, MahaTransco is also likely to have selected a syndicate of merchant bankers, including SBI Capital Markets, CLSA and Bank of Baroda, to work on the transaction, the people said, asking not to be identified as the details remain private.

The transaction, expected to comprise a mix of fresh issue and an offer for sale, marks an effort by the Maharashtra government to monetize state infrastructure assets. The share sale is scheduled to take place by June 2027, the people said.

An official list of book-running lead managers has not yet been disclosed or confirmed by MahaTransco. Emails sent to the company, Axis Capital, CLSA, Bank of Baroda and SBI Capital Markets seeking comment did not immediately elicit responses.

MahaTransco owns and operates most of Maharashtra's electricity transmission system. It runs a network spanning 51,518 circuit kilometres of transmission lines and 742 extra-high-voltage substations, making it the country's largest state transmission utility.

According to the latest full-year financial statements available on its website, the company reported revenue of ₹6,554 crore in fiscal year 2025 and a net profit of ₹1,883 crore.

Moneycontrol reported on 9 September that the utility's IPO was likely to value the company at around ₹40,000 crore to ₹50,000 crore.

The proposed listing comes as Maharashtra's electricity demand rises. *The Times of India* reported on 11 October that the state's peak electricity consumption reached 32,389MW on 8 October, 25% higher than a year earlier. Under the state's 2024 resource adequacy plan, peak demand is projected to rise to 46,396MW by 2034.

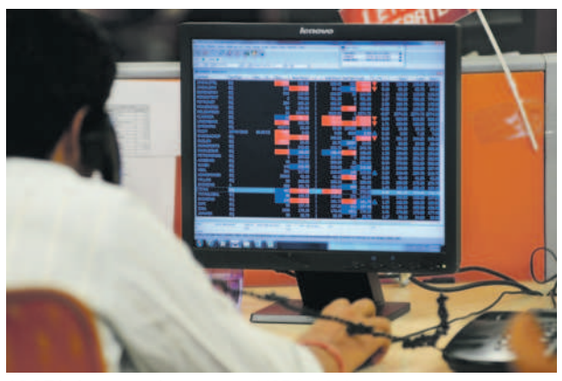
The IPO could add to the funding options available to the state's power infrastructure sector

The IPO could add to the funding options available to the state's power infrastructure sector as it prepares for higher demand and the need to expand transmission capacity. Public equity issuances in the sector can help finance grid expansion, renewable energy integration and system modernization, depending on how the proceeds are allocated.

For an extended version of this story, go to livemint.com.

Stockbrokers brace for slower Q2 revenue growth

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ADPT in index options on the NSE fell 27% quarter-on-quarter, while cash-market turnover declined 19%. MINT

Revenue growth at stock brokerages is likely to slow sequentially in the September quarter as lower cash and derivatives trading volumes weigh on core broking income. Average daily premium turnover (ADPT) in index options on the National Stock Exchange (NSE) fell 27% quarter-on-quarter, while cash-market turnover declined 19%, exchange data showed.

Revised closing auction session (CAS) framework affected F&O activity, Motilal Oswal Financial Services said in its preview for the September quarter.

Groww parent Billionbrains Garage Ventures and Angel One could be among the hardest hit, given their greater dependence on cash and derivatives broking, Motilal Oswal Financial added.

The weakness in cash-market activity comes amid foreign investor selling and global uncertainty stemming from the war and elevated oil prices, which have weighed on market sentiment. Reduced participation in equities has added to the pressure on trading volumes for brokers.

For Angel One, gross income from cash and derivatives brokerage accounted for 60% of total gross income in the June quarter of fiscal year 2027 (Q1FY27), according to its investor presentation. For Groww, cash and derivatives brokerage contributed 73.3% of total income in the same quarter.

"Capital market companies do benefit from operating leverage, but its true potential is realised when revenue growth drives profitability rather than dependence on controlling operating expenses. In certain quarters, such as the current one, stock broking companies may struggle to show operating efficiency and sustain profitability, which could result in a decline in profits," said Lalit Deo, research analyst at Equirus Securities.

Foreign selling, war-driven uncertainty and high oil prices have weakened cash-market sentiment

Groww has the highest number of unique client codes (UCCs) at 44 million as of April, as per NSE data. A UCC is a unique client code used to identify a trading account. Angel One ranked second, with 39 million UCCs at the beginning of FY26.

Shrikant Chouhan, head of equity research at Kotak Neo, said steady expansion in brokers' margin trading facility (MTF) books, along with strong commodity orders, could offset some of the pressure from falling equity-market participation.

Average daily premium turnover in metals and energy options on the Multi Commodity Exchange of India (MCX) rose 15% in the September quarter. MCX's options ADPT climbed to ₹10,450 crore, supported by sharp moves in crude oil and natural gas prices.

For an extended version of this story, go to livemint.com

Sebi allows IPO size tweaks until March 2027

Apoorva Ajith &
Agnidev Bhattacharya
MUMBAI

The Securities and Exchange Board of India (Sebi) has extended until 31 March 2027 a relaxation allowing companies planning an initial public offering (IPO) to change the size of their fresh issues by up to 50% without filing fresh draft offer documents, according to two people aware of the development and a document seen by *Mint*.

In April, the capital markets regulator had allowed companies to increase or decrease their issue size by up to 50% without triggering additional regulatory compliance requirements. The window was available for companies opening their public issues before 30 September.

In a letter to the Association of Investment Bankers of India (AIBI) dated 12 October, the regulator said the relaxation allowing issuers to change their fresh issue size by up to 50% without filing a new draft offer document applies to IPOs opening on or before 31 March 2027.

Sebi did not immediately respond to *Mint*'s emailed queries.

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For an extended version of this story, go to livemint.com.

SIP growth slows amid market volatility

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While September SIP contributions hit a record, growth has slowed, even as the industry's assets continue to expand. MINT

Market volatility is slowing the growth of systematic investment plans (SIPs), even as mutual fund assets continue to expand. The widening gap between total mutual fund folios and active SIP accounts suggests that the industry's growth is increasingly extending beyond regular monthly investments.

Monthly SIP contributions hit a record ₹32,490 crore in September, but year-on-year growth slowed to 10.7% from 52.8% in September 2024, according to a *Mint* analysis of data from the Association of Mutual Funds in India (Amfi). Active SIP folios as a share of total mutual fund folios also fell to 35.2% from 47% over the same period.

The divergence points to a possible shift towards lump-sum investments, as some investors with accumulated savings look to take advantage of falling market prices. However, data on lump-sum investments are not available.

"The data is more indicative of total mutual-fund folios growing faster than SIP accounts," said Akshay Rao, head of product and strategy at Tata Asset Management. "This rapid growth is being driven by a wider range of products and investor needs—ETFs (Exchange-Traded Funds), index funds, sectoral and thematic funds, debt funds, liquid funds and NFOs (New Fund Offers)—where investments are often also made as lump sums or through non-SIP modes."

The slowdown comes amid a market downturn. The Nifty 50 has fallen 9.43% since the US-Iran war began on 28 February, touching 22,520.45 on 9 October. Turnover in the benchmark index declined 36.74% to ₹26,129.26 crore during the period.

"The slowdown can largely be attributed to one key factor: the sharp moderation in market returns," said Ritesh Pathak, deputy chief business officer at Motilal Oswal Asset Management. "Over the past two years, equity markets have delivered relatively subdued, and at times negative, returns, which has taken away the strong Wealth-creation momentum seen earlier."

Market volatility may push investors with savings to make lump-sum investments at lower prices

"Existing investors stay disciplined, but fresh retail participants—especially smaller investors—are stepping back," he added.

The broader industry has continued to expand. Total mutual fund folios rose 36% to 28.62 crore in September from the same month two years earlier, while industry assets under management increased to ₹82.64 trillion from ₹67.09 trillion in September 2024.

Active SIP folios, by contrast, grew just 2% to 10.06 crore over the two years. Monthly SIP contributions rose to ₹32,490 crore from ₹24,509 crore in September 2024, even as their growth rate slowed sharply.

The deceleration also reflects the difficulty of sustaining high growth rates as contributions rise, said Madhu Lunawat, chief executive officer of The Wealth Company. "A 40-50% annual growth rate becomes progressively difficult to sustain as the base expands. This is the classic base effect. At ₹32,000 crore-plus of monthly contributions, even a 14% growth rate represents an incremental annualized flow of roughly ₹48,000 crore compared with the level a year ago," she said.

Investor expectations may also be changing after strong equity-market returns of earlier years. "Some investors may have entered the market with an unrealistic expectation that their investments would compound steadily every year. When actual returns did not follow such a smooth trajectory, it may have affected their willingness to start new SIPs or increase existing commitments," Lunawat said.

For investors, the growing appeal of lump-sum investing also comes with risks. Those who wait for the right entry point may miss a market recovery, while investors deploying large amounts at once risk greater exposure to short-term price swings, experts said.

SIP growth is expected to revive at a moderate pace going ahead. "I would expect SIP growth to revive, although probably at a more measured pace rather than through another sharp acceleration. SIPs will remain the core wealth-creation route, while lump-sum flows will provide an additional avenue for investors deploying accumulated savings," Pathak said.

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Festive rush tests logistics cos

Logistics providers weigh festive surcharges as sellers reassess discounts, pricing and margins amid rising costs

Vaeshnavi Kasthuril & Sowmya Ramasubramanian

NEW DELHI/BENGALURU



Logistics can account for 10-20% of e-commerce businesses' overall costs, particularly for low-value, high-volume brands. MINT

Logistics firms are raising prices or considering festive-season surcharges as labour, warehousing and last-mile delivery costs climb, putting pressure on e-commerce brands and sellers to absorb higher costs or pass them on to consumers.

Blue Dart has announced a 9-12% increase across its domestic portfolio from 1 January 2027, while Mumbai-based Emiza has revised prices by 10-15% over the past few months, citing higher labour costs and temporary workforce shortages. Quick-commerce-focused logistics provider Zippee is considering selective festive-season pricing adjustments in regions where demand and operational requirements warrant them, its founder and chief executive officer Madhav Kasturia told *Mint*.

The pressure comes as logistics providers contend with rising costs across labour, warehousing and last-mile delivery. The impact on customers is likely to vary by business model, geography and service requirements, with providers adopting different approaches to pricing, experts said.

With festive-season volumes adding to operational demands, higher logistics charges could force e-commerce brands and sellers to reassess discounts, delivery options and order-level profitability. The pressure comes as oil prices and other operating costs add to the uncertainty over how much of the increase sellers can absorb without passing it on to consumers.

Ajay Rao, founder and CEO, Emiza, said disruptions in LPG and fuel availability in April and May affected workforce availability across locations, leading to temporary manpower shortages that continue to pose a challenge. "To maintain service continuity, we relied on additional overtime and local workforce deployment, which increased operating costs. Around the same time, statutory wage revisions in states such as Haryana also increased costs. These changes are being transparently communicated to our customers."

Zippee said last-mile delivery is its biggest source of cost pressure, given the speed and reliability expected from a premium fulfilment service. Its order volumes across the network grew 4.5 times during the festive period, Kasturia said.

Higher volumes require additional staffing, delivery resources and operational support, he added. Rather than imposing a uniform increase across services and clients, Zippee evaluates pricing adjustments based on specific operational requirements and cost structures. Special pricing linked to festive demand or surges may be introduced in regions where additional operational requirements warrant it, Kasturia said.

Listed logistics company Shiprocket highlighted the cost implications of failed and delayed deliveries. It is focusing on courier-performance tracking to help sellers identify delivery risks and reduce return-to-origin shipments, said Atul Mehta, CEO, Shiprocket's domestic shipping division.

Listed logistics stocks have seen divergent performance recently. Shadowfax shares have gained about 168% since their January 2026 listing, while Delhivery has declined around 13% over one year and Blue Dart about 17%. Shiprocket, which went public in August, was trading near ₹134 on 12 October, compared with its IPO price of ₹97.

According to Aakash Agrawal, associate director for digital and new-age business at Anand Rathi Investment Banking, higher logistics costs could prompt brands to reassess discounting and delivery economics.

Logistics already accounts for a meaningful share of e-commerce businesses' costs—often 10-20% of total expenses—particularly for brands with low average order values and high order volumes, Agrawal said. "With brands also competing on discounts, customer acquisition and delivery speed, there is limited room to absorb repeated cost increases."

Brands are unlikely to respond uniformly, Agrawal said. Depending on their category economics, some may reduce discounts, introduce delivery charges or revise minimum order values. Price increases remain possible, but may be harder to implement in categories such as apparel and electronics, where consumers can easily compare prices across platforms.

Sakksham G, a seller of fashion and accessories on platforms including Flipkart and Myntra, said he would avoid raising prices during the festive months to minimise the risk of dampening demand. "We plan to increase prices by around 7-10% on our mid-range products priced between ₹800 and ₹1,500 starting January," he said.

Higher logistics costs could also prompt brands to reassess where faster delivery makes commercial sense, rather than abandon it altogether. Sakksham said he prefers marketplaces because they bundle last-mile logistics with listings, while fulfilling orders independently can be more expensive.

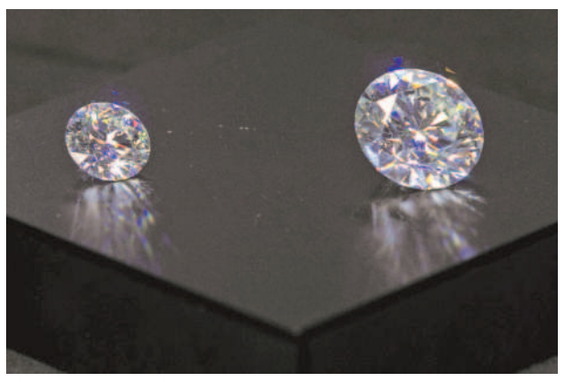
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FESTIVE SQUEEZE

RISING labour, warehousing and last-mile delivery costs are squeezing logistics providers

SELLERS may cut discounts, introduce delivery charges or raise minimum order value to offset costs



Titan wants to position lab-grown diamonds on more than price, avoiding the perception of a cheaper alternative. REUTERS

Titan's beYon bets on design as prices of lab diamonds fall

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BENGALURU

Falling prices are making lab-grown diamonds more accessible—and giving Titan Co. Ltd a harder problem to solve: how to build a brand around stones whose prices may keep declining.

India's largest jewellery retailer entered the category about 10 months ago with beYon, its lab-grown diamond jewellery brand. It is experimenting with coloured stones, unconventional cuts and settings, and jewellery in silver, vermeil and gold to give consumers reasons to buy beyond affordability.

"We don't want it to be a cheaper alternative. The moment you say it's a cheaper alternative, it loses its value," Shyamala Ramanan, business head of Mia and beYon at Titan, told *Mint* in an interview.

beYon is testing coloured stones, unconventional cuts and various metals to set apart its diamond jewellery

Titan also wants to expand the diamond-jewellery market rather than compete only for existing customers. Ajoy Chawla, then head of Titan's jewellery division, described the opportunity as one to "expand the pie" in a January call with analysts, rather than focus solely on profitability.

Lab-grown diamond prices have plunged as advances in production technology and expanding manufacturing capacity, particularly in India and China, have increased supply. Wholesale prices fell 97% from 2018 levels by the second quarter of 2026, including a 13% year-on-year decline during the quarter, according to the Edahn Golan Lab-Grown Diamond Price Index, which tracks loose stones across specified size, colour and clarity grades.

India's lab-grown diamond jewellery retail market was valued at about ₹29.5 billion in fiscal 2025 and is projected to reach ₹63 billion by fiscal 2030, according to Technopak, a Gurgaon-based management consulting firm. The growth opportunity has attracted startups and established jewellery companies.

Limelight Lab Grown Diamonds raised ₹275 crore in July to expand its manufacturing and retail network. Bengaluru-based Aukera raised $15 million (about ₹129 crore), in equity in June 2025, followed by ₹90 crore in debt in July 2026 to fund retail expansion and product development. Goldiam International raised ₹202 crore through an institutional placement in August 2025 to accelerate the rollout of Origem, its lab-grown diamond jewellery brand.

Before beYon's launch, the firm assessed consumer preferences and tested products and policies. Chawla acknowledged the challenge of carving out a distinct brand. "How to create differentiation? What will be our IP and what should be our consumer value proposition?" he had said.

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Citi, Credendo close $328 mn deal to finance 8 IndiGo jets

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MUMBAI



The financing covers six Airbus A321 and two A320 planes.

American investment bank Citigroup and Belgian export credit agency Credendo, a European credit insurer, have completed a $328 million financing deal for eight Airbus aircraft for India's budget carrier IndiGo, marking two milestones in global aviation finance.

The deal is the world's first-ever Credendo-insured aviation financing and the first export credit agency (ECA)-led aircraft financing via GIFT City's International Financial Services Centre (IFSC) leasing structure, Citigroup said in a statement on Tuesday.

The financing covers six Airbus A321 and two A320 planes. Citi acted as the sole mandated arranger, ECA coordinator and sole lender, while Credendo gave credit insurance. The deal was executed through IndiGo's subsidiary, InterGlobe Aviation Financial Services IFSC Pvt. Ltd.

The financing solution was jointly developed by Citi and Credendo in partnership with IndiGo and Airbus. It aims to support IndiGo's fleet expansion plans by providing access to long-term funding through GIFT City. "The government of India has made aircraft leasing through GIFT City a clear policy priority, and the incentives introduced have helped position India as an attractive destination for aircraft leasing. This transaction is a strong example of that vision in action," K. Balasubramanian, India chief executive and banking head and Indian subcontinent sub-cluster head at Citi, said.

For IndiGo, the facility provides a competitive and diversified source of long-term funding for fleet, network growth

This transaction reflects the growing importance of access to innovative international capital and export credit support in meeting the financing needs of India's rapidly expanding aviation sector and reinforcing its position as a global aviation hub, it said.

For IndiGo, the facility provides a competitive and diversified source of long-term funding for fleet and network growth. The transaction demonstrates GIFT IFSC's potential to bring international banks and export credit agencies together to develop innovative financing solutions for Indian aviation, Riyaz Peermohamed, chief aircraft acquisition and financing officer at IndiGo, said.

The deal reinforces GIFT IFSC's role in developing India as a global aircraft leasing hub while broadening the funding options available to the country's aviation industry.

Aircraft leasing is capital-intensive, with lessors buying aircraft and leasing them to airlines. GIFT City IFSC has attracted leasing entities from the Adani Group, Air India, IndiGo and Akasa Air, as carriers seek to finance fleet expansion. Aditya Birla Group, too, is looking to do the same.

For an extended version of this story, go to livemint.com.

Adani Airport defers Mumbai international flight shift plan

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NEW DELHI



The decision could delay the start of Mumbai airport's Terminal 1 redevelopment by at least three months. BLOOMBERG

Adani Airport has pushed back by at least five months its plan to shift a third of international flights from Mumbai's existing airport to its new facility in Navi Mumbai, 50 km away, after airlines resisted the proposed changes to international departure slots.

The revised timeline puts the January 2027 start of the Terminal 1 redevelopment at risk of a delay of at least three months, as the operator works to secure airlines' agreement on relocating flights and balancing traffic between two airports. The proposed shift from Chhatrapati Shivaji Maharaj International Airport (CSMIA) to Navi Mumbai International Airport (NMIA), both operated by Adani, had met resistance from airlines over a plan to temporarily discontinue 265 of the 770 weekly international departure slots at Terminal 2 from 25 October. In all, 46 airlines were affected.

Airlines will retain their existing slot allocations during the winter schedule, from 25 October to 27 March

"Airlines will not be asked to shift operations during the winter schedule. A transition plan will be worked out in agreement with the airlines," said a person present at a meeting on Tuesday convened to resolve the standoff between the airport operator and airlines.

The winter schedule runs from 25 October to 27 March, while the summer schedule begins in late March and runs until October.

In a statement issued late Tuesday, a Mumbai airport spokesperson said Jeet Adani, director, airports, at Adani Airport Holdings Ltd (AAHL), and Arun Bansal, chief executive, AAHL, had assured airlines that historical slot allocations would be respected and that "no slots will be disturbed during the winter schedule".

The statement also said airlines had committed to supporting the redevelopment and that traffic balancing would begin with the summer schedule. A joint working group will develop an implementation plan for the ageing Terminal 1 infrastructure over the next two weeks.

Mumbai International Airport Ltd (MIAL), a joint venture between AAHL and the Airports Authority of India (AAI), had asked the 46 airlines to identify international departure slots they would be willing to temporarily discontinue. The deadline was set for 4 pm on 6 October.

The civil aviation ministry intervened, pausing the proposed reduction and directing the airport operator to work out a transition plan with all stakeholders. Tuesday's meeting followed that intervention, resulting in an agreement to leave the winter schedules unchanged while working towards traffic balancing from the summer schedule. MIAL also said it had offered full support to any airline seeking to shift operations to NMIA.

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HC rejects SpiceJet's plea for more time to pay Maran and KAL

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NEW DELHI



Delhi High Court rejects SpiceJet's plea for more time to deposit ₹144.51 crore. MINT

The Delhi High Court on Tuesday dismissed SpiceJet's plea seeking more time to deposit ₹144.51 crore in its dispute with Kalanithi Maran and KAL Airways.

A bench of Justice Vinod Kumar said that repeated extensions could not be granted, as the airline had failed to honour its undertaking to deposit ₹50 crore within 45 days, as part of its commitment to pay the outstanding amount in instalments.

The court observed that it could have considered allowing the airline to furnish property documents as security for the outstanding amount had it deposited the initial ₹50 crore as promised. "The court would have taken a lenient view in respect of time limit of second instalment, had petitioner complied with their own undertaking of depositing Rs 50 crores with registrar general within 45 days," the court said, adding, "In such a situation, repeated extension cannot be granted."

The court also rejected SpiceJet's proposal to furnish documents of a Gurugram property as security.

It said the proposal was previously rejected in an order dated 18 February, when the property was under mortgage. Though the property was now stated to be unencumbered, the HC said its primary concern was the airline's failure to honour its undertaking to deposit ₹50 crore. The written order was not available till press time. The enforcement applications in the dispute will be heard on 3 November.

On 13 July, SpiceJet agreed to deposit ₹50 crore with the court registry within 45 days and the remaining ₹94.51 crore within 90 days.

The airline had relied on the Centre's emergency credit support programme for airlines amid the West Asia conflict and rising aviation turbine fuel (ATF) prices to meet its payment obligations. In August, SpiceJet sought more time from the court to deposit the first ₹50 crore instalment towards the ₹144.51 crore it owes Maran and KAL Airways in the long-running dispute.

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NOTICE INVITING E-TENDER

Reserve Bank of India, Department of Communication, Central Office invites Open Tender bids through e-tendering on CPPP portal (https://etenders.gov.in/eprocure/app) from eligible bidders for the following:

"Empanelment of vendor for Brand Infringement and Reputation Management Service for Reserve Bank of India"

For details, please visit the Tenders Section of RBI website (https://www.rbi.org.in-/Scripts/BS_ViewTenders.aspx). The last date for submission of bids is **November 13, 2026, 12:00 hrs.** RBI reserves the right to reject any or all the bids for the tender.

Chief General Manager
Department of Communication
Reserve Bank of India

भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA
www.rbi.org.in

Auction of Government of India Dated Security for ₹34,000 crore on October 16, 2026

Government of India has announced the sale (re-issue) of following dated security:

Sr. No.	Nomenclature	Notified amount Nominal (in ₹ Crore)	Earmarked for Retail Investors (in ₹ Crore)
1.	6.94% GS 2036	34,000	1,700

The security will be sold through Reserve Bank of India, Mumbai Office, Fort, Mumbai - 400001, as per the terms and conditions spelt out in the General Notification F.No.4(2)–B(W&M)/2018, dated March 26, 2025 and the Specific Notification issued in this regard.

The auction will be conducted using **multiple price method** on **October 16, 2026 (Friday)**. The result will be announced on the same day and payment by successful bidders will have to be made on **October 19, 2026 (Monday)**.

Retail investors can participate in the auction on a non-competitive basis as per the Scheme for non-competitive bidding facility. Individual investors can also place bids through the Retail Direct portal **(https://rbiretaildirect.org.in)**.

For further details, please see press release dated **October 12, 2026** on RBI website **(www.rbi.org.in)**.

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Does India have a chance to escape 100% US tariffs?

FROM FRONT FLAP

2 Will the new law affect India in any way?

Yes, it will. In September, Russia accounted for 35% of India's total crude oil imports. The share is lower than 56% in July owing to the lower availability of Russian crude and the possible effect of the new law. As things stand, New Delhi will invite tariffs under the new law. Also, any tariff, 100% or lower, will make India's exports to the US uncompetitive. The US accounts for 20% of India's overall exports. With the chances of Russia ending the war and accepting a free and independent Ukraine being remote, India has three options: cut Russian oil imports, continue imports and brave the sanctions or convince Trump for a possible waiver, which he can secure by certifying to the Congress that it is in the US' national interest.

REUTERS



3 Can India cut Russian oil imports entirely?

India has, in the past, cut back oil purchases from sanctioned nations. But the situation is different now. Global oil supply is tight due to the Russia-Ukraine and West Asian crises. Shifting the entire volume to other sources will not only be challenging but will also be costly. India imported 1.74 million barrels a day of Russian crude in September. Inflation in India, at 5.5%, is already well above the 4% target.

4 What was Trump's 'surprise' last week?

On 9 October, Trump announced he had struck a deal with Russian President Vladimir Putin for Russia to supply 300,000 tonnes of diesel to the US and global markets. The announcement follows runaway retail diesel prices of $6.28 per gallon in the US last week. With mid-term election due on 3 November, Trump is under great pressure to lower fuel costs and reverse the Republicans' electoral fortunes, which are currently dim. Though members of the Congress have opposed the move, Trump has refused to back down.

5 Will US buying Russian diesel aid India?

By buying diesel from Russia, Trump is clearly going against the objectives of the Russian Sanctions Act, which seeks to deprive Putin of resources to fund the Ukraine war. It will also put him in a difficult position to ask India not to buy oil from Russia. India can impress upon Trump and seek a waiver from the Congress on the grounds that supply is tight and a shift away from Russian oil would case global oil prices to rise. However, some experts warn that Trump may still impose tariff to pressure India to sign the trade deal.

Radisson sets 500-hotel target with big city focus

Belgian hotel company now operates 146 hotels with 16,000 rooms in India

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NEW DELHI

Radisson Hotel Group is shifting its India expansion strategy towards larger cities and premium hotels as it targets 500 properties in the country by 2030, while continuing to enter smaller, underserved markets.

The Belgian hotel company, owned by Jin Jiang International Holdings, operates 146 hotels with about 16,000 rooms in India and has another 86 hotels, with 10,488 rooms, in its development pipeline, Elie Younes, executive vice-president and global chief development officer, told *Mint*.

The target calls for roughly 250 additional properties over the next four years, matching the number of properties the group took 28 years to build globally.

"We are re-calibrating a little bit. We were pioneers in getting into tier two and three cities back when nobody else was. But when we look at the bigger picture now, we feel we can do more in hotels in tier one cities," Younes said.

India contributes 15-16% of Radisson's global system revenue, with room revenue accounting for 60% of its revenue in the country.

About 60% of the next 250 properties are expected to be in tier-one and tier-two cities, with the remaining 40% in tier-three cities and beyond. These larger markets currently account for about 55% of its portfolio, Younes said. Recent launches include hotels in Narkanda, Coorg, Tadoba, Sonipat, Ujjain, Bhubaneswar, Namakkal and Sagar.

The shift reflects Radisson's expectation that stronger economic growth will create more opportunities in big cities, even as it pursues markets where other hotel chains have limited presence.

"We want to make bets that nobody else is making and go to those tier 3 and 4 cities where others have not gone yet," Younes said.

The group also plans to expand into leisure destinations, religious centres and wellness-oriented properties, though business travellers are expected to remain its main source of demand.

Radisson expects about 95% of planned additions to follow an asset-light model, under which local partners or hotel owners invest in land and hotel assets while the group manages or franchises the properties. Younes did not rule out investments in India; the remaining additions could involve joint ventures or selective investments with existing partners.

In 2012, the group entered into a joint venture with developer Bestech Group to build a mid-scale hospitality footprint across north and central India, backed by a combined $42 million development commitment.

The next phase of expansion is expected to be split roughly equally between management contracts and franchise agreements. Under management contracts, owners retain their properties while Radisson operates the hotels; under franchises, owners operate hotels using the group's brand and systems.

Management contracts accounted for about 65% of Radisson's new signings so far this year, against 35% for franchises, Younes said. The group expects franchising to gain ground as the industry evolves.

"There is a general market trend for franchising in India and while we are great managers, we know we cannot swim against the tide for too long," he added.

About half of planned additions could carry the core Radisson brand, while roughly 30% are expected to be in the upper-upscale and luxury segments, including Radisson Blu and Radisson Collection. Upscale and lifestyle hotels, serviced apartments and other formats would account for the balance.

India is one of Radisson's strongest growth markets globally, alongside China. Its largely domestic demand base has also helped insulate the business from the Gulf conflict.

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Elie Younes, executive vice-president and global chief development officer, said Radisson has 86 hotels, with 10,488 rooms, in its development pipeline in India.

MORE ROOM

INDIA contributes 15-16% of Radisson's global revenue, 60% of it comes from room sales

ABOUT 60% of the next 250 properties are expected to be in tier-one and tier-two cities

RADISSON expects about 95% of planned additions to follow an asset-light model



MUFG may put $10 billion into Shriram to gain control. REUTERS

MUFG keen on majority control of Shriram Finance

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Mitsubishi UFJ Financial Group Inc. (MUFG) is studying ways to eventually gain majority control of Shriram Finance Ltd, in a deal that would mark the largest foreign investment in India's financial sector if it goes ahead, people familiar with the matter said.

Japan's largest bank is in the early stages of considering the idea of increasing its stake in India's financial conglomerate Shriram to more than 50% from about 20% now, the people said, asking not to be named because the discussions are private. It may need to inject more than $10 billion into Shriram to gain control, according to the people.

While MUFJ wants to work toward the ultimate goal of gaining control of the company, it hasn't set a firm timeline for a potential deal, some of the people said. Deliberations are still at an early stage and details of the possible transaction could still change, according to the people.

Shriram rose 6% after the news, the most in four months while beating gains in the Sensex index.

If completed, the deal will mark a major vote of confidence in India's long-term growth prospects, despite an exodus of foreign capital from Indian equities and the rupee near record lows. It also underscores India's growing appeal to global financial institutions seeking deeper exposure to the consumers and small businesses powering the country's expansion.

In December, when asked whether MUFG was thinking of increasing its ownership Shriram, an executive at the Japanese firm said that such a possibility exists over the longer term, but no decision had been made at the time.

An investment of more than $10 billion would come on top of the $4.4 billion MUFG has already put into Shriram, taking its total commitment to more than $14 billion.

The transaction would intertwine Japanese banks' growing appetite for overseas expansion with India's rising stature as a destination for global capital. It also tests regulatory willingness to allow foreign institutions to control large domestic financial companies.

Representatives for MUFG and Shriram declined to comment.

For Nifty firms, Q2 may be year's best

FROM PAGE 1

decline in a decade, as foreign investors continue to pull money out of India.

Foreign portfolio investors have sold over ₹3 trillion worth of Indian equities so far this year, marking the highest net selling on record in National Securities Depository Limited data, as they gravitate towards safer US Treasuries amid global uncertainty and the lack of comparable artificial intelligence investment opportunities in India relative to East Asian economies.

Experts note market sentiment may remain fragile as the earnings outlook is set to become more challenging in the coming quarters.

"The earnings trajectory over the next two quarters will be closely watched, particularly as the lagged impact of global headwinds, the potential impact of an El Niño-related monsoon shortfall, and the strength of festive demand become more evident," said Motilal Oswal Financial Services. "Despite these near-term uncertainties, we expect the underlying momentum in mid-teen double-digit earnings growth to remain intact."



The benchmark index has fallen about 13% this calendar year. PTI

A low base may also amplify Q2 growth figures, as profit growth was sluggish in the year-earlier period, Nuvama Institutional Equities noted.

"The benefit of the base effect should not be mistaken for a broad-based acceleration in underlying profitability," said Feroze Azeez, joint CEO at Anand Rathi Wealth.

Rising raw material costs could squeeze margins in fast-moving consumer goods, passenger vehicles, cement and chemicals, analysts warned. Companies may struggle to pass on the higher costs fully without hurting demand or losing market share to competitors.

Rising raw material costs could squeeze margins in FMCG, PVs, cement and chemicals, analysts warned

"Q2 is likely to be a more demanding earnings test than Q1, as the initial recovery in revenue growth increasingly encounters higher input costs and tougher operating conditions," an Axis Direct report said.

Investors will track management commentary on whether companies can implement calibrated price increases to protect margins or absorb higher costs to sustain sales volumes, Axis Direct said. An inability to pass on persistent cost inflation could trigger earnings downgrades, particularly for richly valued companies, the brokerage added.

Urban demand remains relatively resilient, supported by premiumization, new product launches, easy credit and value-oriented offerings, Azeez said. This could sustain festive demand for automobiles, electronics and jewellery, allowing companies in these segments to pass on higher costs.

Rural demand, however, remains a concern. Uncertainty over rainfall and depleted reservoir levels in parts of southern India could threaten farm activity and the recovery in rural consumption, Azeez said.

With sales volumes holding up, the extent to which companies can implement and sustain price increases in Q3FY27 will determine how much of the FY27 earnings estimates can be preserved, Elara Securities said.

Blackstone to invest $500 mn in defence tech firm Accord

FROM PAGE 1

foreign ownership in companies classified as indigenously designed, developed and manufactured (IDDM) that supply equipment to the government at 49%, the person said.

"The deal can go up to 49% depending on how the talks progress," this person added.

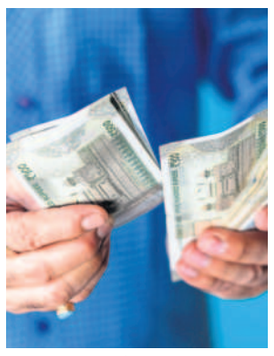
According to the third person, consulting firm PwC India is helping Accord company with the fundraise.

"The primary capital will help the company diversify into newer areas. Taking its products at a global stage too will be one of the aspirations," the person added.

Queries emailed to PwC and Accord Software Systems did not elicit any response. Blackstone declined to comment.

In a September 2025 credit rating note, Crisil said that the company had a turnover of around ₹234.52 crore in fiscal year 2025 (FY25) and was expected to grow at more than 30% in FY 26.

"Crisil Ratings believes high entry barriers preventing competition coupled with the healthy order book and the extensive experience of ASSPL's promoters is expected to strengthen the business risk profile over the medium term," it said.



Private capital is increasingly turning to space and defence.

ASSPL serves several defence and space establishments and other public sector undertakings. "The growth in earnings was supported by order execution, high margin products in Electronic Warfare Support Systems or EWSS and GHNSS receiver products. Ebitda is expected to further improve in fiscal 2026, expected to be in the range of 30-35%, driven by the expected completion of ongoing and upcoming orders," Crisil said. The company provides navigational and positioning products and timing systems to various defence and space organisations.

Defence and aerospace is among India's sunshine sectors that private equity and venture capital firms are betting on. The government has been pushing for greater private-sector participation in defence manufacturing. Over the years, it has launched initiatives such as iDEX, ADITI and Make in India, besides earmarking 25% of the defence research and development budget for the private sector, to reduce import dependence, *Mint* reported last month.

This year, India's private capital is increasingly turning to harder-to-build sectors such as space and defence, which fall under the broader deep-tech category, especially in the early stage.

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MDR on UPI promises an unequal toll across the merchant landscape

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India's move to levy merchant discount rates (MDR) on select UPI transactions is set to bring new costs for some businesses, even as most merchant payments remain free. A new survey suggests the impact will vary widely, with some merchants anticipating substantial monthly bills while many expect the charges to have little effect on their margins.

A merchant survey included in How Urban India Pays 2026, a report by Pahlé India Foundation in partnership with Amazon Pay, found that 25% of respondents expect to pay more than ₹5,000 a month. Another 58% of the merchants expect to pay ₹1,000 or less, including 13% who expect no charge, suggesting the cost could fall unevenly across businesses. More than 95% of UPI payments to merchants will remain free under the new merchant discount rate.

Last month, the National Payments Corporation of India (NPCI) announced a merchant discount rate on select person-to-merchant UPI transactions, effective 15 October, while keeping person-to-person transactions free. Under the framework, specified UPI merchant payments above ₹2,000 will attract a 0.4% charge, capped at ₹300 per transaction, subject to exemptions and sector-specific concessions.

On Tuesday, however, the NPCI deferred the levy until immediately after Diwali.

The merchant survey captures expected costs rather than actual bills. The report's merchant survey covered 1,054 kirana owners and other merchants.

Amazon Pay India chief executive Vikas Bansal said merchant payment services could expand beyond basic QR-code acceptance as the industry prepares for the introduction of MDR.

"Merchant acquisition business will continue to be an opportunity for us...We expect merchant offerings to move from basic payments to more value-added services in the future," Bansal said.

He identified card acceptance, buy-now-pay-later options, rewards and loyalty programmes as avenues for payment providers to deepen engagement with offline merchants.



Specified UPI merchant payments above ₹2,000 will attract a 0.4% charge, capped at ₹300 per transaction. ISTOCKPHOTO

Businesses expecting monthly MDR bills above ₹5,000 typically handle higher-value sales, the report said. Some merchants surveyed suggested raising the transaction threshold for the fee from ₹2,000 to around ₹5,000, which would keep more of their payments free. Others proposed a slab-based structure, with charges varying by transaction value rather than a single standard rate.

Still, 48% of respondents described the expected cost as insignificant or only slightly significant. The same merchants expected no or only a slight effect on their margins.

About 35% reported monthly UPI receipts of ₹1 lakh or less, the turnover band relevant to the small-merchant exemption. Eligible small merchants receiving payments through the specified UPI quick response (QR) arrangement remain exempt, including on payments above ₹2,000. They move into the fee-paying category after exceeding the monthly threshold for three consecutive months.

For 44% of respondents, payments above ₹2,000 account for a quarter or less of their UPI transactions. As a result, most of their payments would remain free, broadly consistent with NPCI's transaction-volume data, the report said.

UPI is already central to these businesses. More than half, or 53%, receive over half their sales through it, including 35% who receive 51–75% and 18% who receive more than three-quarters. Only 3% receive less than a tenth of their sales through UPI.

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FEE ROLLOUT

IN September, the NPCI announced a merchant discount rate, effective 15 October

HOWEVER, the NPCI deferred the levy until immediately after Diwali

Indian auto firms set up China bases as trade barriers mount

The push on the ground reflects China's expanding footprint in India's auto supply chain

Dipali Banka & Ayaan Kartik
MUMBAI/NEW DELHI



China's share of India's auto component imports rose to 36% in FY26. BLOOMBERG

At least three auto and auto ancillary firms—Ather Energy Ltd, Ceat Ltd, and Lumax AutoTechnologies Ltd—are looking to get closer to China's supplier base through dedicated sourcing teams or a physical presence in the country as they seek better prices and access to critical components.

The moves range from setting up subsidiaries and resource centres in the region to hiring local executives to gain deeper insights into supplier markets. Indian companies are seeking to optimize sourcing costs at a time when commodity prices are rising and restrictions on Chinese exports of critical raw materials have severely constrained domestic manufacturers.

This push on the ground reflects China's expanding footprint in India's automotive supply chain. China's share of India's auto component imports rose to 36% in fiscal year 2025-26 (FY26) from 32% a year ago, according to the Automotive Component Manufacturers Association of India (ACMA).

The effort to control procurement costs has gained urgency as commodity prices have climbed sharply this year. Aluminium and copper prices have risen since January, driven by strong demand from electrification and broader industrial sectors alongside persistent supply constraints. Higher prices of metals and other industrial inputs have squeezed margins for component makers and vehicle manufacturers alike.

At the same time, China's export controls on rare earth elements and magnets present a parallel supply-chain challenge. Introduced in April 2025, these restrictions require export licences for specified rare earth materials and finished magnets used in electric motors. The controls have made it harder for companies to secure supplies reliably, prompting manufacturers to explore alternative sourcing routes and local partnerships even as they remain dependent on China for key electric vehicle (EV) components.

Driven by these macro pressures, auto firms are taking direct action in the region. Tyremaker Ceat is exploring a deeper presence in China to strengthen its sourcing capabilities, according to a top executive. "As a result of the (West Asia) war, we may be looking at alternative raw materials and sourcing options, including China as a potential source country. Should the potential develop, we may also look at recruiting local personnel to manage our requirements," Ceat managing director Arnab Banerjee told *Mint*.

His comments come after Ceat's consolidated net profit plunged 96.4% year-on-year to ₹4 crore in the first quarter (Q1) of FY27, while its consolidated Ebitda margin contracted to 8.6% from 10.9% in the year-ago quarter as higher raw material costs weighed on profitability.

Electric vehicle maker Ather Energy has similarly incorporated a wholly owned Hong Kong subsidiary to support procurement and strengthen supply-chain resilience across the Asia-Pacific region. The company incorporated Ather Energy Hong Kong Ltd on 21 September, following a board decision in February.

In a stock exchange filing, Ather said the subsidiary was set up "to support the company's critical procurement functions and enhance supply chain resilience within the Asia-Pacific (APAC) region". The company plans to subscribe to 1.65 million ordinary shares at HKD 1 apiece, retaining full ownership of the entity.

This step follows major disruptions to Ather's supply of rare earth magnets after China's 2025 export restrictions hit production of its electric scooter motors. The shortage forced the company to defer ₹26.25 crore in PM E-DRIVE subsidy claims for up to 52,500 vehicles while seeking clarity on compliance requirements. Ather subsequently developed a motor that does not use heavy rare earths and secured type approval from the Automotive Research Association of India (ARAI).

Meanwhile, Lumax Auto Technologies has established a representative office in China to identify technologies, improve sourcing and tooling, and explore new business opportunities, according to its filings. The office was established during FY26 and is expected to work with the company's Bengaluru-based 'SHIFT' technology centre.

"The office focuses on technology benchmarking, sourcing and tooling, while facilitating technology partnerships and supporting new business opportunities," Lumax stated in its annual filing.

Analysts note that having boots on the ground is becoming essential for navigating complex trade environments.

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SECURING SUPPLIES

THE effort to control procurement costs has gained urgency as commodity prices have surged this year

CHINA'S controls on rare earth elements and magnets present a parallel supply-chain challenge.

DRIVEN by these macro pressures, auto firms are taking direct action in the region

THE moves range from setting up units and resource centres to hiring local executives

AI tools are reshaping India's growing microdrama market

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Microdrama platforms are building proprietary AI tools to generate full shows. ISTOCKPHOTO

Artificial intelligence (AI) is reshaping how Indian video companies produce, localize, and distribute content. Microdrama platforms, which offer short, episodic series for mobile screens, are building proprietary AI tools to generate full shows, while streaming platforms such as ZEE5 are using AI to improve content discovery. However, faster and cheaper production does not automatically translate into higher viewership or revenues.

Bullet Microdrama has launched Trinetra AI, a production suite for streaming, filmmaking, and advertising powered by three proprietary models. Trishul assesses and scores scripts against more than 100 data points prior to shooting; Rudra generates characters, visuals, and shot breakdowns; and Damrooh handles dialogue, dubbing, and background scores. Together, Trinetra co-ordinates more than 37 underlying AI models to execute these tasks.

AI allows studios to produce and test multiple titles before committing capital to larger productions, according to Saurabh Kushwah, co-founder and chief product and technology officer at Bullet Microdrama. Beyond creation, Trinetra also tracks how AI-generated content performs to identify successful formats and guide future commissioning, Kushwah added.

The company has not disclosed project-level cost or time savings, citing differences in genre, cast, locations and the extent of AI use. Its platform follows a credit-based pricing model, with packages ranging from 330 credits for ₹668 to 30,000 credits for ₹47,720.

To put those software credits into context, traditional production still carries a substantial baseline cost. Bullet Microdrama previously told *Mint* that a full microdrama series, including distribution and social media support, costs around ₹18-20 lakh to produce. A month-long campaign typically costs ₹30-40 lakh, depending on the scale.

AI allows studios to produce and test multiple titles before committing capital to larger productions

Despite the speed offered by AI tools, the platform maintains that tech does not replace creators. At Bullet, AI is a 'production multiplier', but the creative team retains decision-making authority, Kushwah said. Human judgement remains necessary for the central idea, script approval, casting, performance direction, final edits and decisions on rights, safety and compliance.

A report by strategy consulting firm Redseer projects that India's microdrama market will grow from around ₹2,300 crore in fiscal year 2025-26 (FY26) to ₹23,500-25,500 crore by FY32. Advertising revenue from microdramas could rise from ₹24 crore in FY26 to ₹5,000-5,500 crore by FY32, it said.

Other microdrama players are taking different approaches to AI-driven production. EloElo Group, which runs microdrama platform Story TV, has introduced Dolphin AI through a phased early-access programme. Users can access it with an invite code or join a waitlist. Pricing remains undecided as the company develops the product and assesses enterprise use cases.

"The first job of AI in the content landscape is actually a very basic one: don't break the story," said Saurabh Pandey, founder and chief executive of EloElo Group.

Story TV has more than 5,000 original dramas and tests over 100,000 creative variations every month, according to the company. "Until now, AI video has largely been generated shot by shot. That works well for a five-second or 10-second clip, but it becomes a very different problem when you are telling a story across 50 or 100 episodes," Pandey said.

Regional platforms too are tapping AI for some purposes.

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Bavaguthu Raghuram Shetty, founder of NMC Healthcare and UAE Exchange.

NMC Health fraud: Shetty seeks $15 bn from BoB, others

Yash Tiwari & Krishna Yadav
MUMBAI/NEW DELHI

Bavaguthu Raghuram Shetty, founder of NMC Healthcare and UAE Exchange, has approached the Bombay High Court (HC) seeking $15 billion in damages from Bank of Baroda (BoB) and several of its officials, alleging that they helped facilitate transactions linked to the financial fraud that led to the collapse of his business empire.

Shetty has sought $5 billion in direct damages, $5 billion for consequential losses, including lost business opportunities, and another $5 billion for reputational damage. The first two claims are against all defendants, while the reputational damages claim is against Bank of Baroda alone. He has also sought 18% annual interest on the amounts claimed.

According to the filing seen by *Mint*, the suit names 26 defendants, including the bank, 10 of its officials, former NMC executives Prasanth Manghat and Promoth Manghat, their associates, and two Indian companies, Avitis Super Speciality Hospitals Pvt. Ltd and SMARD Building Solutions Pvt. Ltd.

Shetty accuses the bank of processing suspicious transactions, ignoring repeated anti-money laundering alerts and allowing transfers based on signatures and instructions he claims were forged or unauthorized. The allegations have not been established in court.

The plea says the bank's systems generated more than 100 alerts on NMC Group accounts, but these did not lead to meaningful investigations, action to stop transactions or reports to authorities. It also alleged that the bank's zonal office queried seven accounts at the request of a correspondent bank, and the branch responded that all were "NMC-related."

Shetty alleged that the Abu Dhabi branch helped structure transactions to pass scrutiny checks

Shetty further alleged that the bank's Abu Dhabi branch "advised the Manghat team how to structure and paper those transactions so that they would pass scrutiny". It also accuses the bank of executing "every leg of the roundtripping" of funds from NMC.

Mint's queries emailed to Bank of Baroda and MZM Legal LLP, the law firm representing Shetty, remained unanswered.

For an extended version of this story, go to livemint.com.

Hyundai to put $15.5 bn into India ops by 2032

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South Korean Hyundai Motor Group has committed to invest $15.5 billion in India between 2026 and 2032 through a dedicated investment entity, spanning manufacturing capacity expansion, research and development, local supplier development and startup investments.

In a statement on Tuesday, the group said the investment which will cover both Hyundai Motor India and Kia was discussed during a meeting between executive chair Euisun Chung and Prime Minister Narendra Modi in New Delhi. The investment is expected to create additional employment opportunities across manufacturing, R&D, engineering and supply chains, as per its statement.

The commitment, the group's largest investment pledge for India, comes two years after its automobile unit, Hyundai Motor India, raised ₹27,870 crore through its initial public offering in October 2024. During Hyundai India's first investor day last year in October, the company committed $5.4 billion investment till fiscal year 2029-30 (FY30).

The latest investment follows a ₹77,500 crore commitment for five years by Japanese auto giant Suzuki earlier in August, underlining the growing interest of global automakers in expanding their presence in India. "India remains one of Hyundai Motor Group's most important and strategic markets globally. The past 30 years have been defined by our commitment to India. This investment reaffirms our commitment to India for the next 30 years and beyond," Chung said in the statement.

For an extended version of this story, go to livemint.com.




Supporters of the Houthi authorities in Sanaa during a protest against Saudi intervention in Yemen. AFP

Saudi Arabia intercepts new Houthi attacks

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Saudi Arabia intercepted more ballistic missiles launched by Yemen's Houthis, a sign the confrontation with the Iran-backed militant group is far from subsiding.

The Houthis targeted Riyadh and Khamis Mushait, near the Yemeni border, late on Monday, according to a spokesperson for the Saudi-led coalition fighting the group.

Saudi authorities issued a warning to residents of the two areas when the attacks were detected, following days of repeated strikes on the country's main international airport in Riyadh. Those attacks left at least 18 people dead and over 300 wounded, marking the deadliest incidents in the kingdom since the US-Israeli war against Iran began in February.

The fighting poses a serious challenge to Saudi Crown Prince Mohammed bin Salman's efforts to transform the kingdom's oil-rich economy into a centre for everything from tourism to finance. Recent Houthi strikes have resulted in the suspension of operations at Riyadh's main airport and forced the capital's main financial district to switch to remote work.

Riyadh has been in conflict with Houthi militants ever since they took control of the Yemeni capital, Sanaa, in 2014 and forced the internationally recognized government backed by Saudi Arabia to resign the following year.

The latest flare up began in July, when Saudi jets struck the runway of the airport in Sanaa to prevent a Houthi delegation returning from Iran from landing. Hostilities intensified over the last week as Saudi-led forces in Yemen launched a new campaign to take back control of Houthi-held areas.

US aviation authorities cautioned against flying to or over parts of Saudi Arabia, while the American embassy said US government employees must get special authorization to use any of the airports in the country.

US President Donald Trump said on Monday he spoke to the Saudi crown prince following the weekend attacks. He earlier said he was considering joining in the fight against the Iran-backed militant group.

The US is already assisting Riyadh with intelligence, targeting and aerial refueling. But even direct involvement would likely fail to deter Houthi attacks on the kingdom, according to Aaron David Miller, a senior fellow at the Carnegie Endowment for International Peace, who earlier worked at the state department advising US administrations on Middle East policy.

"Saudis are incredibly vulnerable. Houthis are determined to demonstrate their proximity as an advantage to them," Miller told *Bloomberg TV* on Monday. "I don't think frankly, given that the Houthis now believe they have the advantage, that you're going to get the Houthis to back off." Saudi media minister Salman Al-Dosary called for national solidarity to protect the kingdom from the Houthi attacks, according to state-run Saudi press agency.

The Houthis targeted Riyadh and Khamis Mushait, near the Yemeni border, late on Monday

The Houthi strikes come at a particularly sensitive time for the kingdom, as it prepares to host high profile international events. Some business executives have declined to attend the World Petroleum Congress taking place in the capital this week. Misk Global Forum, which was scheduled for next month, was cancelled by the organizers. Riyadh is also due to host the Future Investment Initiative, the kingdom's flagship investor gathering, later this month.

Iran is fortifying nuclear sites and rallying its people for a return to fighting

The regime, convinced President Trump is ready to attack again, sees the preparations as a deterrent

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Iran is fortifying its defenses, rallying loyalists and threatening a wider, harsher response against the U.S. and its Gulf allies as it prepares for potential American attacks after the midterms and seeks to deter them.

Iranian officials have warned publicly and in private conversations with regional officials that the Islamic Republic will respond with further escalation across the Middle East if the U.S. launches new strikes.

Satellite images show Iran is strengthening sensitive locations, including nuclear sites and border areas, to make them more resilient to attacks. The government is also preparing Iranians for renewed war, sending paramilitary forces to read war stories to kindergartners, advertising training in firing shoulder-mounted anti-aircraft missiles and holding rallies.

Iran has little ability to defend against attacks from advanced U.S. jets, high-altitude bombers or cruise missiles, giving it an incentive to try to deter such attacks with threats. The belligerent tone also serves as a distraction from the deepening economic misery Iranians are experiencing as the U.S. toughens sanctions and pressures airlines not to fly to the country, tightening the blockade.

"The war footing is serving them well for now due to an impasse on many fronts—diplomatically, economically and politically," said Sanam Vakil , Middle East director at London's Chatham House think tank. "With a new war, the Islamic Republic could dig itself out of the cul-de-sac it has dug for itself."

In an attempt to deter a potential attack, some Iranian officials have hinted that their forces could conduct land incursions into neighboring countries, according to people familiar with the warnings. Iran's top national security official, Mohsen Rezaei , said on Sunday that Tehran could target the United Arab Emirates, which has largely escaped being attacked since late spring, as well as data centers and internet cables across the region.

Tehran has separately warned Arab officials that it could strike regional targets including Saudi oil facilities in the event of a renewed conflict, some of the people said. That would add to the threat Saudi Arabia faces from Iran-backed Houthi militants in Yemen, who attacked its capital's international airport over the weekend.

The U.S. military has itself been gearing up for a possible return to fighting . A third aircraft carrier strike group and another Marine expeditionary unit are steaming toward the Middle East, and the Pentagon is weighing sending additional air-defense equipment and munitions to bases in the region, *The Wall Street Journal* has reported.

While President Trump last week ruled out an attack before the Nov. 3 midterm elections, he has publicly mulled hitting Iran's Pickaxe Mountain nuclear site, and U.S. officials have said that the military is preparing a range of options for new strikes.

The efforts by both sides to shore up their fighting capacity underscore how, more than seven months into the war, neither side feels compelled to give up a fight that is largely deadlocked.

Instead, both are trying to break the logjam in their favor. The U.S. has ramped up its economic pressure campaign and is guiding tankers through the Strait of Hormuz with increasing success.

Iran has stepped up its strikes on vessels in the Persian Gulf area. At least three commercial vessels were hit over the weekend in and around the strait, according to U.K. Maritime Trade Operations, which is affiliated with the Royal Navy. A drone attack set a fire on Emirati tanker Petro Dolphin near Oman on Sunday, leaving two Indian sailors missing.

The missile attack by Houthi militants on the airport in Riyadh killed at least 13 people and injured hundreds more on Saturday, the single deadliest attack on the U.S. or its Gulf allies in the conflicts related to the Iran war.

The attacks highlighted the vulnerability of major economic targets in the region if Trump decides to resume fighting.

The government has also told mediators that it would more aggressively target U.S. personnel, including by trying to sink U.S. warships in the Middle East and kill their crews, according to some of the people familiar with the warnings.

Iranian missiles came close to American warships during attacks in September. The Pentagon moved a dozen B-1 bomber aircraft from a U.K. military base last week over concerns that Iran's Islamic Revolutionary Guard Corps had planned a drone attack .

Direct fighting between the U.S. and Iran has largely been on hold since Trump called off plans for a major escalation in late July, partly because of concerns about supplies of missile interceptors needed to defend targets across the region, the Journal has reported.

Iran has used the pause to rebuild its missile and drone facilities and replenish its arsenal. Iran's supreme leader, Mojtaba Khamenei, praised the work but acknowledged supply-chain struggles in early September comments published by news outlets linked to the Revolutionary Guard.

Iran has intensified Gulf strikes, hitting at least three commercial vessels over the weekend

Iran has also reinforced protection around its nuclear sites and other security-related bunkers. Last month, it built passive defense measures such as makeshift dirt mounds around its Pickaxe Mountain and Natanz nuclear sites to impede any attempted raid by ground forces, according to Vantor satellite images analyzed by the Institute for Science and International Security, a Washington, D.C.-based nonprofit.

Iranian officials are touting their efforts. The country's airports, seaports and power plants "have prepared for wartime conditions," installing shelters and backup supplies to continue operating in a crisis, Brig. Gen. Gholamreza Jalali, the official in charge of the country's contingency plans, told reporters at the end of September.

State media has also been broadcasting daily pro-regime gatherings. Iranian residents say the crowds have grown bigger and spread to more locations in recent weeks.

A hard-line cleric who joined the demonstrations said he expected the war to restart and Iran to win it. Diplomacy hasn't worked, the cleric said in an interview, so Iran has no other choice but to fight.

Billboards in Tehran now advertise civilian training courses in the use of shoulder-fired antiaircraft missiles and sniper rifles.

Last month, the Revolutionary Guard boasted that it had trained its first female commando units in guerrilla tactics, firearms use and drone piloting, according to footage posted by the Fatehin, an elite unit of Iran's Basij volunteer defense forces.

In Sabzevar, a city in northeastern Iran, a Revolutionary Guard unit visited a kindergarten and told the children stories about the fighting earlier this year and displayed a U.S. Tomahawk missile that the unit said it had neutralized, according to the social-media account of the guard's ground forces.

"In both word and deed, the Islamic Republic is actively preparing for the next war," said Behnam Ben Taleblu, senior director of the Iran program at the Foundation for Defense of Democracies, a Washington think tank. "In this sense the regime's measures constitute both deterrence and war planning."

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Iranian missiles are displayed next to a banner with a picture of Iran's supreme leader Mojtaba Khamenei. REUTERS

Europe's biggest auto show is now dominated by Chinese cars

Stephen Wilmot &
Ryan Felton

Paris— Li Auto , a Beijing-based luxury carmaker, used this city's auto show to show off a car with massage seats at the front, a 21-inch screen for passengers in the back and a unit in the central console that can keep your energy drink cool or your coffee warm.

Meanwhile, BYD, the world's bestselling electric-vehicle brand, took the veil off an SUV for Europe that can fill up much of a battery in five minutes.

And not to be outdone, XPeng touted a test of autonomous-driving technology it conducted around the Arc de Triomphe, the 19th century monument commissioned by Napoleon Bonaparte on the Champs-Elysées. The vehicle, an SUV outfitted with tech that was supervised by a driver, was up for the task, Chief Executive He Xiaopeng said at an event Sunday.

"Oh, my God, it's hard," he said of the chaotic roundabout circling the monument.

Welcome to the Paris Motor Show—though, this year, one could be forgiven for mistaking it for a China auto show. In total, around 20 Chinese vehicle brands had stands, representing a third of all brands here. That is second to Europe and up from nine when the show last took place two years ago.

Three American brands were represented: Tesla , Ford Motor and Lucid Group.

The Chinese automakers helped make Europe's biggest car show much more buzzy than its U.S. counterparts. Unlike recent events in Detroit and Los Angeles, the Paris show consistently had throngs of attendees crowded around stages to witness the debut of new vehicles. Carmakers held news conferences back-to-back, sometimes overlapping, as Chinese executives played up their plans to increase manufacturing in Europe.

"They are looking to not only sell here, but be perceived as good citizens," said Adam Bernard, a U.S.-based automotive consultant.

Chinese automakers are accelerating their sales across Europe by offering vehicles packed with high-end features at competitive prices. They accounted for 11.3% of all sales in the year through August, up from 7.1% in the same period of last year.

The shift is among the reasons behind a wave of job cuts among European automakers, alarming political leaders and accelerating negotiations between Brussels and Beijing.

On Friday, the European Union and China reached a deal that the bloc said could halve its imports of Chinese hybrid vehicles. The EU will impose an annual quota of 350,000 units in the first year, EU officials said Monday, adding that the amount can increase by 6% in each of the following three years.

"The trade deficit is a mountain of a challenge for the EU," Maroš Šefčovič, the EU trade commissioner, said last week.



Visitors watch an XPeng G9L on display at the Paris Motor Show in Paris, Monday. AP

French President Emmanuel Macron personally sought to inject a dose of European flair into the show. Macron admired a prototype all-electric version of Citroën's 2CV model, a classic of the French company and a fixture of European streets in the postwar era. Like other long-established European carmakers, Stellantis , which owns Citroën, is leaning in to its 20th century heritage in response to the wave of 21st century startups from China.

So far, brands owned by five companies account for most of Chinese imports into Europe: BYD, Chery Automobile , SAIC Motor , Geely Automobile and Leapmotor, which is expanding through a joint venture with Jeep owner Stellantis.

State-owned Changan Automobile, China's fourth-largest automaker, is following their lead. It has a target of selling 1.5 million vehicles outside China by 2030, more than twice last year's total. The company said it hoped to sell 100,000 vehicles in Europe next year, up from a target of 30,000 in 2026.

"We aim high," said Klaus Zyciora, Changan's global chief executive adviser.

Chinese carmakers are also trying to edge out European brands in their closely guarded luxury market. The Aito brand made by Seres Group —tagline "Intelligence Redefining Luxury"— announced that it would launch in Europe in the fall of 2027.

Chinese automakers are accelerating European sales by offering vehicles with high-end features

"Chinese companies are known for their cost efficiency. Convincing customers that we can also do luxury will take time. But we will get there," said Clifford Kang, a Seres board member.

Chinese cars are essentially shut out of the U.S. by high tariffs and software restrictions, but President Trump last month repeated comments that he would welcome them if they were locally built, alarming Detroit . Congress is debating a legislative ban of Chinese cars.

John Bozzella, president of the Alliance for Automotive Innovation, the top U.S. car-industry group, said: "Europe is a cautionary tale for the U.S. What American policymakers are trying to do is address the issue up front."

Chinese cars got their foothold in Europe partly by exploiting an inadvertent loophole created in Brussels. Officials in 2024 excluded plug-in hybrids from additional European Union tariffs on Chinese electric vehicles. Chinese brands pivoted to selling those models and have since seized a disproportionate market share of a vehicle type that has emerged as a sweet spot for consumers looking for fuel economy without compromises.

European countries are hesitant to totally shut off China from its market, fearing retaliatory measures by Beijing. The continent relies on exports much more heavily than the U.S.

"I've got to make sure I'm protecting my export markets," said U.K. Business Secretary Jonathan Reynolds in a recent interview.

The U.K., like the EU, has been flooded with Chinese cars, including a model made by Chery's Jaecoo brand that became the bestselling vehicle in September.

Chinese companies are starting to localize production to avoid tariffs and smooth relations. "In Europe for Europe" was a slogan touted by many Chinese automakers at the show.

At a Sunday evening gala inside a floating art museum on the Seine River, industry executives mingled over drinks and a live jazz band while locals passed by on runs along the water.

"For Geely, globalization is not a solo sprint," Alex Nan, vice president of Geely Auto, told the audience. "It is a marathon we run side by side with our partners."

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NEWS IN NUMBERS

₹170.3 cr

THE net profit reported by design and technology services provider Tata Elxsi for the September quarter, marking a 10% increase from the year-ago period.

$32 bn

THE NET amount foreign investors have pulled from Indian stocks this year, contributing to a 14% drop in the benchmark Nifty 50 Index.

40,000

THE NUMBER of eligible BMW employees granted access to the internal HR portal to review voluntary severance offers, causing the system to crash.

$276 mn

THE AMOUNT Elon Musk contributed since July to support Republican candidates in the 2026 US midterm elections—the largest donor this cycle.

678,000

THE NUMBER of AI accelerators Nvidia shipped in China in the first half of 2026, down 44% year-over-year amid US export controls and rising domestic competition.

HOWINDIALIVES.COM

Barclays plans India advisory return

Barclays Plc is preparing to restart its investment banking business in India after nearly a decade, capitalizing on a surge in share sales in one of the world's busiest markets for fundraising.

"That's one important product missing in our otherwise very strong wholesale banking offering," Pramod Kumar, chief executive officer of Barclays India, said on the sidelines of the Bloomberg New Economy Forum in New Delhi. A return would allow the London-headquartered bank to compete for underwriting mandates as the pipeline for initial public offerings (IPO) stays strong after two straight years of unprecedented deals. Investment banks earned a record $417 million in IPO fees in India last year, according to data from London stock exchange group, as a surge in listings and improved pricing power boosted revenues. **BLOOMBERG**



Jio is now aiming for a valuation of $108 billion in the IPO. REUTERS

Jio draws over $20 bn IPO bids

Jio Platforms Ltd has drawn more than $20 billion in bids for what could be India's biggest-ever initial public offering, according to people familiar with the matter.

Global investors including Fidelity, Allianz and Capital Group, as well as other international and local firms have indicated interest in the IPO, some of the people said, asking not to be identified because the information is private. A final list of IPO anchor investors will likely be decided in the coming days, the people said, adding that the process is ongoing and no final decisions have been made yet. After earlier expectations reached as high as $170 billion, Jio Platforms is now aiming for a valuation of as much as $108 billion in the IPO, people familiar with the matter have said.

The share sale is expected to open next week for an IPO before 30 October. **BLOOMBERG**

Adani, Jabil to form JV for AI hardware

Adani Enterprises and Jabil have signed a non-binding agreement to set up a 50:50 joint venture to manufacture artificial intelligence (AI) and data centre equipment in India as demand for computing infrastructure accelerates.

The proposed venture would make and assemble AI racks, servers, storage and networking equipment, alongside power distribution systems, liquid-cooling equipment and transformers. It is envisaged as a multi-gigawatt manufacturing platform serving Indian and global customers, including hyperscalers and data centre operators. The agreement remains subject to definitive contracts, regulatory approvals and customary conditions, the companies said in a statement. It follows an announcement in June to build an AI and data centre hardware manufacturing ecosystem in India. **PTI**

FSSAI to tighten q-commerce rules

The Food Safety and Standards Authority of India (FSSAI) is preparing tighter rules for quick delivery online platforms, including Blinkit, Swiggy Ltd's Instamart and Amazon Now, as it intensifies a nationwide crackdown on unsafe practices across the world's largest consumer market.

E-commerce is the next big focus area for the FSSAI, its chief executive officer Rajit Punhani said in an interview. "We are trying to tighten and make them accountable," he said.

FSSAI plans to require online listings to display manufacturing and expiry dates and batch numbers of food products, and to hold platforms accountable for misleading claims by manufacturers.

It is also considering rules mandating photographs and addresses of dark kitchens, along with stricter checks on dark stores to ensure proper storage conditions, including on frozen items. **BLOOMBERG**

Sebi proposes stricter IPO fund tracking, fines

The Securities and Exchange Board of India (Sebi) has proposed a review of the regulatory framework for monitoring the utilization of funds raised by listed companies, including provisions for direct reporting by monitoring agencies to stock exchanges and penalties for non-cooperation by issuers.

The proposals form part of the report of a working group constituted by Sebi to review the listing obligations and disclosure requirements regulations, 2015.

In a consultation paper issued on Tuesday, the regulator sought public comments on recommendations aimed at streamlining the framework governing the monitoring and disclosure of issue proceeds. **APOORVA AJITH**

'India's bond yields are less sensitive to inflation in AI era'

The yields on long-term government bonds have become less responsive to inflation expectations since September 2022, whereas the short-term rates have become more responsive, according to a working paper from the National Institute of Public Finance and Policy, which has been reviewed by *Mint*.

The study, *titled Artificial Intelligence and the Indian Sovereign Yield Curve: Empirical Evidence in Times of Macroeconomic Turmoil*, analysed monthly data from 2000 to 2025 to examine whether artificial intelligence (AI) adoption has changed the factors influencing government bond yields. This change could be due to use of AI tools, which can assist regulators and policymakers in detecting risks earlier and making more accurate liquidity forecasts. It states that better information would mean markets experience less uncertainty, thereby reducing the impact of inflation expectations and liquidity conditions on long-term bond yields. **DHIRENDRA KUMAR**

Urban Company eyes fundraise

Home services marketplace Urban Company Ltd, which listed on stock exchanges in September 2025, is considering raising funds at a 16 October board meeting as competition in the sector intensifies, the Gurugram-based firm said in a stock exchange disclosure on Tuesday.

The company said its board will consider issuing equity shares or convertible securities, subject to regulatory and shareholder approvals. The capital raise may take place through a qualified institutions placement, preferential allotment, private placement or a combination of these methods.

The proposed fundraise comes as competition heats up in the instant home services space, driven by expanding rivals Snabbit and Pronto. On 2 August, Urban Company announced that its instant domestic help service, InstaHelp, crossed 100,000 delivered orders that day. **NABODITA GANGULY**

Govt picks 19 fund managers for ₹1 trillion RDI scheme

The development comes amid scrutiny of the RDI Fund's selection process

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ISTOCKPHOTO



The union government's ₹1 trillion Research, Development and Innovation (RDI) Fund has selected 19 second-level fund managers (SLFMs) in its first cohort, according to the ministry of science & technology. A second-level fund manager receives money from the government's RDI Fund and deploys it to fund startups and companies developing new technologies. The capital can be provided through low-interest loans or equity investments. These fund managers include alternative investment funds (AIFs), non-banking financial companies (NBFCs) and focused research organisations (FROs), such as IIT research parks.

The Empowered Group of Secretaries (EGoS), at a meeting held on 8 October 2026, approved 14 AIFs and five FROs, with total RDI Fund commitments of ₹7,131 crore. FROs are specialised organisations that support research and development in specific technology areas.

The approved AIFs include Speciale Invest Growth Fund, YourNest Capital Advisors, Chiratae Ventures, Kalaari Capital Partners India, Celesta India AIF Managers, AdvantEdge Investment Managers, IvyCap Ventures Advisors, Ideaspring Capital, Blume Ventures, TVS Capital Funds, AMA Capital Advisors, Translation Endeavors and Campus. Consumer-focused Sixth Sense Ventures was also selected.

The five approved FROs are the Artificial Intelligence (AI) & Robotics Technology Park at IISc Bengaluru, the Centre for Cellular and Molecular Platforms in Bengaluru, IIT Madras Research Park at IIT Madras, Pilani Innovation & Entrepreneurship Development Society at BITS Pilani, and the Society for Innovation and Entrepreneurship at IIT Bombay. This was first reported by *Moneycontrol*. The ministry was yet to reply to *Mint*'s queries at press time.

"Applications received under the call underwent a rigorous, multi-stage evaluation process, including detailed objective assessment of applications and in-person interactions with an expert advisory committee. Following this, the proposals were placed before the executive council of ANRF and subsequently before the empowered group of secretaries for consideration and approval," the government said.

For an extended version of this story, go to livemint.com.



The stake sale reduced Quant MF's holding in Jubilant Pharmova to 1.16 %from 1.85%. AFP

Quant sells stake in Jubilant Pharmova

Quant Mutual Fund (Quant MF) has sold nearly 1 % stake in Jubilant Pharmova for over ₹100 crore through an open market transaction, according to National Stock Exchange (NSE) data.

Quant MF offloaded 11 lakh shares, representing a 0.69 % stake in the Noida-based drugmaker, as per block deal data on the NSE.

The transaction was executed on Monday at an average price of ₹915 a piece, taking the deal value to ₹100.65 crore. The stake sale reduced Quant MF's holding in Jubilant Pharmova to 1.16 %from 1.85%.

Jubilant Pharmova's shares fell 2.32% to ₹928.80 on the NSE on Tuesday, after the transaction was executed a day earlier. Separately, Jubilant Pharmova's board has approved raising of up to ₹800 crore through the issuance of non-convertible debentures on a private placement basis, according to a regulatory filing on Monday.

The promoters of HT Media Ltd, the publisher of Mint, *and Jubilant Pharmova are closely related. There are, however, no promoter cross-holdings.* **PTI**

Stocks rally as FM says govt is open to views on LTCG tax

FROM PAGE 1

brought some cheer to the market," said Feroze Azeez, joint chief executive officer (CEO) of Anand Rathi Wealth. While she had not indicated any decision on LTCG or STT, the government's willingness to hear industry views was encouraging, he said.

Taxation is an important consideration for foreign investors, particularly when competing Asian markets do not levy capital gains tax on equity investments. Any rationalization could encourage greater long-term foreign participation, Azeez added.

The Nifty is down about 13% in 2026, putting it on track for its first annual decline in 11 years, as foreign investors sold $32 billion worth of Indian equities. Foreign portfolio investors (FPIs) were net sellers of ₹1,305 crore on Tuesday, while domestic institutional investors (DIIs) were net buyers of ₹2,439 crore, according to provisional BSE data.

The Union budget in July 2024 raised the LTCG rate on listed equity shares and equity-oriented mutual funds held for more than a year to 12.5% from 10%.

"Although the remarks did not signal a policy change, they raised hopes of a possible reassessment of a tax that has been a point of concern for investors," said Ponmudi R, CEO of Enrich Money, a Securities and Exchange Board of India-registered online trading and wealth-tech firm.

Azeez cautioned against viewing taxation as the sole driver of market performance. Improving sentiment towards information technology stocks, some recovery in the rupee and easing bond yields had also contributed to the positive mood. Crude oil prices, global interest rates and corporate earnings would remain important in determining whether foreign investors return, he said.

IT led Tuesday's rally, with the Nifty IT rising 5.2%, the most among NSE sectoral indices. The Nifty Midsmall IT & Telecom index climbed 2.8%, while the Nifty Realty index rose 2.5%.

The rupee gained 0.5%, extending its 1% rise on Monday following central bank measures to curb speculation.

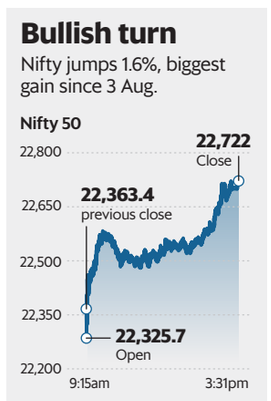
Persistent geopolitical tensions could keep interest rates elevated and prolong market challenges, said Saurabh Mukherjea, founder and chief investment officer of Marcellus Investment Managers. He cited conflicts involving Russia, Ukraine, Iran and the US.

"At the large-cap index level, the chances of weak returns over a prolonged period are quite high," Mukherjea said, adding that opportunities could still emerge in quality stocks in India, small-cap stocks in the US and select real-asset classes.

A broader market recovery would depend on geopolitical tensions easing and policymakers adopting a more constructive approach towards foreign investment and trade, he added.

The broader market lagged the rally. The Nifty Midcap 100 rose 1%, while the Nifty Smallcap 250 gained just 0.3% on Tuesday, suggesting that some investors may have used the rebound to book profits.

For an extended version of this story, go to livemint.com



PRATEEK KUMAR/MINT

Meta says its new Muse model is on par with OpenAI and Anthropic

Bloomberg
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Meta Platforms Inc. released a long-awaited artificial intelligence (AI) model on Monday, a milestone that will test whether its multibillion-dollar push to rebuild its AI organization has improved its technology enough to compete among leaders.

Known as Muse Wonder, the new model is the company's most capable since Meta chief executive officer (CEO) Mark Zuckerberg overhauled his AI operation through an aggressive hiring push that put new talent at the helm. The company claims the model, dubbed "Watermelon" internally, is a big leap over its own predecessors, with "frontier capabilities" that its leadership say put it on par with OpenAI's ChatGPT and Anthropic PBC's Claude when it comes to coding, or working through financial or legal questions.

It can be difficult to compare AI models, as some are better at some tasks and worse at others, and benchmarking parameters can be gamed and aren't necessarily reflective of how the technology performs in the real world. But, if Meta's claims hold up to outside testing, and Muse Wonder gains traction with researchers and developers, it would mark a significant turnaround for the company, whose models last year fell flat in Silicon Valley.



Meta chief executive officer Mark Zuckerberg. REUTERS

"These are true frontier models," said Meta AI chief Alexandr Wang in an interview on Monday. "We really think they are competitive with the best models out there, and particularly state of the art on personal and professional agentic work."

Meta's shares rose as high as 4.7% on the announcement.

The stock has gained nearly 9% so far this year through Friday's close.

Over the last year and a half, Zuckerberg refocused the company's efforts on advancing in the AI race, including by committing hundreds of billions of dollars to build out the infrastructure needed to support the models, and recruiting Wang to lead the new AI unit as part of a $14 billion investment into Scale AI .

For Wang, Muse Wonder's release represents the culmination of that effort. "This is the big moment," he said. Wang added that Meta has tried to differentiate itself from competitors by focusing on big models for broad, consumer uses.

Last month, the company unveiled a personal AI agent known as Muse, which is designed to help with everyday tasks and errands. The new model will soon power the subscription version of that app.

"I think the rest of the ecosystem has been really focused on coding agents," Wang said. "We do genuinely think that we've taken a differentiated focus to make the personal-agent use case really sing."

Part of that effort has been to create so-called active memory and active focus capabilities that allow an AI agent to remember relevant information about a user over time and keep working when tasks become increasingly difficult.

Wang said Muse Wonder can carry information across "days, weeks, months" so users don't have to re-explain themselves. Its agent also will be able to try new tactics when it runs into problems or dead ends. The result, Wang said, is that Meta's consumer AI agent will be able to handle more complex, even "ambiguous" tasks in addition to simple requests.

WHY INDIA'S FACTORIES STRUGGLE TO KEEP UP

Strict overtime limits and inflexible schedules make Indian factories slower and more expensive than global rivals



TARUN KUMAR SAHU/MINT

Bhuvana Anand, Pranjal Chandra & Naveena Pradeep

NEW DELHI

"How are we supposed to compete with the rest of the world, with countries like Vietnam?" asks a garment manufacturer from Punjab employing more than 200 people. He has spent the afternoon walking us through its orders, what each one costs to fill, and how long it takes.

His exasperation comes despite a decade of industrial policy, production-linked incentives and reforms aimed at manufacturers like him. On the one hand he faces a shortage of labour and on the other difficulty in deploying labour because of restrictions under India's working hour regulations.

Competing in manufacturing requires factories to meet the speed and cost demands of modern supply chains. McKinsey's survey of apparel chief procurement officers since 2013 has consistently found that brands weigh speed and cost when choosing where to source from.

The criteria reflect the conditions in which firms compete today. Factories face volatile demand, shorter product cycles, and tighter delivery expectations.

Managing such conditions requires arranging working time across a production cycle to use capacity more efficiently, shorten delivery timelines, reduce inventory costs, and improve the chances of winning repeat orders.

But India's working-hour regulations determine how much room factories have to make that adjustment. A factory's production schedule rests on three sets of rules. Regular work, which caps the hours a factory can schedule at regular wage. Overtime, which determines how far beyond those hours the workday can extend, and at what price. And rest, which prescribes the breaks within a workday and between days.

Together, these rules set the boundaries on how production time is arranged, extended, and priced, and therefore how quickly and competitively a factory can meet a global supply order.

WORKING-HOUR FLEXIBILITY

India's working-hour regulations have long constrained how employers organise work. Even before the introduction of new labour codes in November 2025, India prescribed restrictive limits on all three aspects of work schedules—regular work, overtime, and rest—with little room for adjustment.

The Occupational Safety, Health and Working Conditions (OSHWC) Code, enacted in 2025, retains much of this framework.

When we compare India's working-hour regulations with 15 countries and the International Labour Organization's (ILO) convention, we find sharp differences in the freedom employers and workers have to organise work schedules.

Countries like the US, New Zealand, the UK, China, and even those adopting the ILO's Working Hours Convention, lead the flexibility ranking because they allow factories far more room to adjust working time.

In contrast, India locks its factories into the same week, every week of the year.

Amit Jain, who chairs the Muzaffarnagar chapter of the Indian Industries Association, argues that these rules reflect an older world of physically demanding non-mechanised factory floors. If employers and workers are both willing to arrange work differently, he asks, "why should they not be allowed to do that?"

REGULAR WORK

India does not allow any rearrangement of regular hours across days or weeks. In most countries, including India, the limit on regular hours in a day is 8, and in a week is between 44 and 48 hours. However, in at least 12 countries, and as per the ILO's Working Hours Convention, regular-hour limits are targets to be met on average, not ceilings to meet every week.

Consider a surge in demand. In India, factories cannot exceed the 48-hour weekly limit. So an Indian factory can schedule only 192 regular hours over a four-week period.

A factory in China does not face this challenge. It has to meet an average 40-hour weekly limit over a year. This allows a Chinese factory to frontload 240 regular hours into a four-week period, and compensate workers with a reduced workweek of just 30 hours for the next eight weeks.

> Even before the introduction of new labour codes in November 2025, India put restrictive limits on regular work, overtime and rest, with little room for adjustment.

When factories cannot rearrange regular hours, they fall back on sub-par workarounds. A brewing factory in Odisha noted that during periods of high demand it had three options.

One, it could limit production and turn down orders. Two, it could hire contract labour, shifting the burden of lack of flexibility onto these short-term workers. Or three, it could arrange overtime informally.

OVERTIME WORK

India sets the highest price on overtime work and the strictest caps on overtime volume.

In India, every overtime hour must be paid at twice the wage rate, the highest statutory premium among the countries studied. Most countries set the premium at 1.5x; three set none; the ILO sets the minimum at 1.25x.

On volume, India caps the workday at 12 hours or less. After eight hours of regular work and half an hour mandated break, 3.5 hours remain for overtime. India also caps overtime hours per quarter. Most countries do not cap workday length and allow higher overtime hours than India. Even the ILO's Working Hours Convention does not reference workday length or overtime hours.

India's overtime regulations could put a factory on the wrong side of the law simply for competing in the global market.

In Rajasthan, a textile exporter says he relies on informal overtime, paying workers 1.5x the regular wage; the same rate a factory in China or Vietnam pays lawfully. The textile industry leader in Punjab echoes the same informal rule: "In practice, nobody gives a 2x overtime premium."

The penalties for such a breach are heavy: a fine of ₹2 lakh-3 lakh.

REST

India is more flexible than most countries in scheduling rest; however, that flexibility is difficult to access. Indian workers get the same 30-minute break and the same weekly day off as most of the countries studied. The variation lies in how the rest interval is structured within a shift and whether the rest day can be postponed.

In India, the rest break must be scheduled after 6 hours of work. In Germany and New Zealand, factories and workers can together decide when to schedule rest breaks.

In India, postponing even a single rest day requires government permission. In contrast, 11 countries permit postponement by right or on conditions set in the statute itself.

To be sure, rest rules in India may not match how Indian factory workers actually use rest.

mint KEY NUMBERS

16TH

India's rank on working-hour flexibility among 16 countries and the ILO benchmark, per a Prosperiti study.

23%

How much longer an Indian factory likely takes than a Vietnamese one for the same order.

18%

Extra labour hours per gadget an Indian factory likely pays for versus Vietnamese or Chinese.

In major industrial cities, many factory workers are migrants from Uttar Pradesh and Bihar who travel home for Diwali and Chhath. The Delhi-National Capital Region's 2,000 garment factories reported 15% absenteeism in the two weeks after the 2024 festivals, per an industry report.

The factories faced labour shortages, lost output and paid a premium to recover what they could. The workers lost wages for the days they were absent. An industry representative from Punjab describes the struggle. Migrant workers in his state are young and want to build savings so they can go home for longer, he says. If workers could accumulate rest days more easily, they would keep their wages and factories their output.

LOST OPPORTUNITY

In 2023, as Foxconn and Apple were setting up in Karnataka, they asked for more flexibility in working-hour rules, the Times of India reported. Foxconn's primary manufacturing base was China, and it wanted its factories elsewhere to match what the Chinese factory could produce in a day.

Foxconn's concern can be tested with a simple experiment.

Consider a hypothetical 500-worker electronics factory, working a single shift, in each of the 16 countries studied. Ahead of a September iPhone launch, each factory receives an order for 10,000 devices to be completed in three months.

Say the factories are identical in productivity, wages and technology; only the rules on working hours differ. How fast and at what labour cost would the Indian factory deliver compared to elsewhere?

The results are stark.

The factory in India cannot match the pace of its global peers. It takes 13.7 weeks to complete the 10,000-iPhone order, 23% longer than the fastest factory, as per Prosperiti's 'State of Regulation: Working-hour reforms for competitiveness' report.

In contrast, factories in 12 countries complete the same order in 11-12 weeks.

The Indian factory falls behind because it cannot keep the same pace throughout the production cycle. Without the option to rearrange regular hours, the only way to go faster is overtime. Vietnam, with a 52-week averaging window, can sustain peak production for longer and completes the order in 11.1 weeks.

The Indian factory cannot compete on cost either. To complete the iPhone order, it pays for 49.3 labour-hours per unit, at least 18% more than factories at the cost frontier. India's unit cost is high because 144 of the 800 production hours per worker are paid as overtime at 2x the regular wage, pushing paid labour to 985 hours for 800 hours of output.

Vietnam, which avoids overtime under annual averaging, pays for 41.7 labour-hours per iPhone. The Philippines relies on overtime, but its lower premium keeps the cost to about 46.4 labour-hours per iPhone, roughly 6% below India's.

The combination of slow delivery and high cost makes India an unattractive manufacturing destination.

Products with short life cycles need suppliers that can deliver quickly and absorb last-minute changes. A phone model sells through the quarter in which it launches. Products with thin margins need suppliers that minimise unit cost. Cables, chargers and casings sell at volume year-round on margins of a few rupees. India is unattractive for both kinds of supply chain: too slow for products with short lifecycles, and too expensive for products that run on thin margins.

The delivery gap is visible in manufacturing. Per Vector Consulting Group's report titled 'The Missing Stitch: India's Unfinished Garment Export Story', Indian garment manufacturers fill 60–80% of orders on time, against the high-90s reliability global retailers treat as baseline.

Besides, India's low productivity could compound the regulatory disadvantage. India ranks 122nd on labour productivity, as per an ILO data set, behind almost every country in this comparison. The simulation assumes Indian and Vietnamese workers are equally productive. Since they are not, the real cost gap may be even larger than 18%.

WAY AHEAD

Two reforms can help India move from a slow, expensive manufacturing destination to a fast, cheap one: averaging regular hours over a longer period and reducing the overtime premium.

Every country in the simulation that is both fast and cheap permits averaging the weekly working hours over at least 17 weeks. With 17-week averaging and a 1.25x overtime premium, Indian factories would move much closer to the fast, low-cost group.

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Before the labour codes took effect last year, states had moved to give factories more room to organise working time, mainly by extending the length of a workday or raising permitted overtime hours.

The OSHWC Code builds on that, giving states wider authority to prescribe hours, overtime, and rest. At least five states have set the workday length at 12 hours under their draft rules. The next reform task is to make those hours easier to schedule and more cost-effective.

Vietnam's 2021 reforms show the way. As firms diversified production under the 'China+1' strategy, Vietnam raised overtime and overall weekly working-hour limits and made rest arrangements more negotiable. The Punjab manufacturer asked how an Indian factory is supposed to compete with Vietnam. Part of the answer is to give Indian factories and workers the same freedom to organise working time that many of their global competitors have.

India has the workers and entrepreneurs to compete for manufacturing at scale. The law should stop making production time the constraint.

feedback@livemint.com

The writers are researchers at Prosperiti, a public-purpose institution that builds state capacity to increase economic freedom in India.

Factory race

Manufacturers must meet speed and cost demands

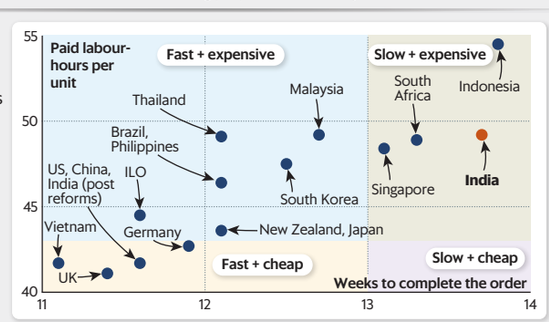
Low flexibility Country-wise ranking by flexibility of working-hour regulations

Rank	Country	Regular work (50% weight)	Overtime (33% weight)	Rest (17% weight)	Overall flexibility score
2	US	86	83	100	88
3	ILO	63	92	69	74
7	China	81	65	47	70
6	Germany	72	85	36	70
5	Vietnam	84	64	42	70
9	Brazil	79	65	14	63
12	South Korea	65	67	28	60
16	India	56	43	51	51

Scores run from 0 to 100 across working hour regulations on regular work, overtime and rest. A high score means the law sets an outer limit and leaves the arrangement within it to a factory and its workers; a low score means the law fixes the arrangement. It does not measure how long people work. The study covered a total 16 countries.

Slow, expensive

Simulation of a 500-worker electronics factory, working a single shift, to manufacture 10,000 iPhone devices



Source: Prosperiti
Graphic: Manu Choudhary/Mint

mint

Decoding the economics of irresistible festive bargains

Compare the prices across platforms and plan purchases in advance to resist impulse buying

Ann Jacob
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MUMBAI

The annual Indian festive shopping window kicked off with record claims across major e-commerce platforms, with the Amazon Great Indian Festival starting on 8 October and Flipkart's Big Billion Days launching its early access on the same day before opening on 9 October.

"One out of two customers opted for Equated Monthly Instalment financing," according to Amazon Pay, while Flipkart noted that one in three shoppers selected No-Cost Equated Monthly Instalment (EMI) options.

To make the most of festival sales, shoppers have three types of offers: card-linked instant discounts, credit-linked payment offers, and upfront price cuts. Platforms feature card-linked incentives, such as Amazon's 10% instant discount on SBI credit cards and Flipkart's 10% instant savings on Axis and ICICI cards, and trade-in exchange bonuses. In addition, No-Cost EMI arrangements offer merchant-funded interest subsidies that reduce the immediate invoice amount.

That said, distinguishing a genuine markdown requires close examination of base prices. *Mint's* festive price tracker also showed bargains, such as the Apple iPhone 17e 256 GB on Amazon, which saw a price drop from ₹98,900 on 24 September down to ₹71,999 on sale day, and the Apple 2026 MacBook Air 15-inch (16GB) with M5 Chip on Flipkart, which dropped from ₹1,79,000 pre-sale to ₹1,59,990 on sale day. While the sales offer great deals and deep discounts, planners and behavioural experts urge caution, as sale seasons tend to encourage spending beyond planned budgets.

Neuroscience behind the nudge

Behind the price-drop banners and flash sales is a framework of behavioural economics designed to capitalize on human psychology. Biju Dominic, chief evangelist at Fractal Analytics and also the author of *MicroStimuli: The New Science of Persuasion*, points out that platforms actively exploit the contrast principle and scarcity to drive immediate action.

"The most obvious tactic from a festive sale point of view is creating that limited offer or limited period, which is a scarcity play," Dominic said

"They try to create a feeling that this offer is available for a very limited time, so if I don't utilize it now, then this will go away, and loss aversion clearly steps in." He said visual design plays a central role in establishing price anchors. "Showing original price cut off acts as an anchor, and then showing a lower price relies on contrast principle as a visual cue that sets in an impression of deep discount."

This psychological pressure is further intensified by neuroscience and social proof. "Searches are all about discovery, and when you see something, there is a dopamine release that happens. Dopamine is the biggest driver of behaviour, and searching and looking for those discounts and discovering it is huge excitement for people," he said.

Platforms showcase crowd metrics to trigger social proof. "Marketing showing images of large crowds sends a message that everyone is taking advantage of this, and you will be left alone," Dominic concluded.



GOPAKUMAR WARRIER/MINT

Price anchoring and discounting

Vivek S.G., Sebi-Registered Investment Advisor and founder of Wealth Crafts, warns that artificial price inflation is a widespread trap during sale. "The most common trap is to artificially inflate the selling price or the quoted price, and then offer a bigger discount within," Vivek explained. "We have seen some brands exist purely with a higher maximum retail price (MRP) to show a 70-80% discount."

To avoid falling for inflated discount badges, consumers must verify price histories rather than taking advertised reductions at face value. "One should check what the price history has been, as there are features and websites where you can check the price history for the last few months," Vivek said. "Then one gets to know that the price indeed increased during the sale time itself, and there were lower prices available earlier, so it may not be the right time."

Online festive sales typically use scarcity, price anchoring and social proof to trigger impulse purchases

When looking for evidence of this during the ongoing festive sale, we found the following. On Amazon, the Samsung Galaxy S25 5G (12GB RAM, 256GB Storage) rose from a pre-sale price of ₹61,999 on 24 September to ₹65,450 on 8 October. Explaining the price fluctuations, an Amazon India spokesperson said, "Amazon operates as an online marketplace where independent third-party sellers list and sell their products. We require sellers to list products that comply with applicable Indian laws and Amazon policies." A similar price fluctuation was also seen on Flipkart. Queries sent to Flipkart were not answered till press time.

To spot the artificial markups, shoppers can utilize tools such as a price history feature or independent third-party price tracking tools, which allow buyers to evaluate price movements over the last few months. It would also help to identify your purchase early and track price movements to ensure you walk away with a steep discount.

Vivek also recommends using independent third-party price comparison tools before checking out. "There are third-party websites that pull pricing details from multiple shopping sites and compare the prices for you, giving a good overview of where the lowest price is available, so one should look at those comparative websites before buying."

No-cost EMIs

There is now a push toward structured credit that users need to approach with caution. Vivek cautions that consumers frequently conflate no-cost financing with zero financial burden. "The temptation to take a loan or buy things on EMI can be so strong because you get the product instantly, but there is a huge difference between low-cost and no-cost EMI," Vivek highlights. "A no-interest EMI may not mean that there is no processing fee, and the processing fee can actually become the interest payments."

"One should not fall for low- or no-interest options without checking if there is a non-refundable processing fee attached," Vivek warned. Additionally, short-term deferred schemes like 'Pay in 3' or co-branded credit card debt reduce immediate checkout friction, but they can also accumulate recurring monthly liabilities.

Fighting Fomo

Experts call for strict discipline, pre-sale preparation, and avoidance of fear-of-missing-out (Fomo) purchases. Vivek stresses that buyers must enter sales with a shopping list rather than browsing out of boredom or social pressure.

"Knowing in advance what you need, planning your purchases properly, and not falling for temptation to buy something is very important," Vivek said. He notes that mindless scrolling on e-commerce applications is the single biggest trigger for unnecessary spending. "We see people scrolling online shopping sites just looking for deals, hoping to get a good deal even if they do not actually need something, like replacing a phone that is perfectly fine just because you are getting a good deal."

Festive sales offer genuine value only when used for planned purchases. By watching out for psychological triggers, verifying historical price trends, and avoiding EMIs, consumers can make the best of seasonal discounts.

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Returning to India? Know how your UK pension will be taxed

Harshal Bhuta



REUTERS

ASK MINT
NRI TAXATION

I am a retired non-resident Indian (NRI) who has lived in the UK for over four decades and plan to relocate permanently to India. I currently get a monthly pension in my UK bank account under the Nest Pensions scheme, to which I contributed through my employer during my working years. Will this pension be taxable in India after my relocation, even if the payments continue to be credited to my UK bank account?

—Name withheld on request

Based on the facts provided, it is assumed that upon your permanent return to India, you would initially qualify as a Resident but Not Ordinarily Resident (RNOR) for tax purposes, before subsequently becoming a Resident and Ordinarily Resident (ROR) as your residential status changes over time.

As an RNOR, you would be taxable in India only on income which is received or deemed to be received in India, or accrues or arises, or is deemed to accrue or arise, in India. Accordingly, during the period you qualify as an RNOR, the pension payout received under the UK workplace pension scheme in your UK bank account would not be taxable in India, considering that it is neither received nor deemed to be received in India nor accrues or arises, or is deemed to accrue or arise, in India. This is based on the principle that pension income accrues in the jurisdiction where the underlying past employment services were rendered.

Once you become a ROR in subsequent years, your global income will be taxable in India. Accordingly, the UK pension income would become taxable in India even if it continues to be received in your UK bank account. This pension income would be taxable as salary income and should be converted into rupees using the State Bank of India (SBI) Telegraphic Transfer (TT) buying rate prevailing on the last day of the month immediately preceding the month in which the pension is due or received. You would also be eligible to claim the standard deduction against such pension income.

Even under the India-UK Double Taxation Avoidance Agreement, pension income received by a resident of India from the UK would be taxable only in the country of residence, i.e., India in your case.

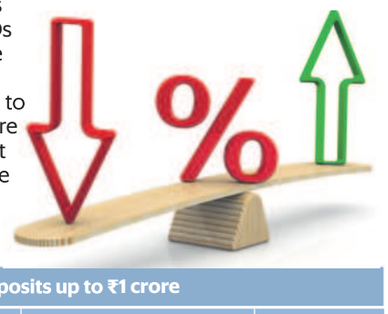
From the perspective of India's foreign exchange law, you would become a resident upon your permanent return to India. The UK pension received after your return would not be required to be brought into India, as it relates to your employment services and contributions rendered while resident in the UK.

Harshal Bhuta is a Mumbai-based chartered accountant

Do you have a personal finance query? Send in your queries at **mintmoney@livemint.com** and get them answered by industry experts.

Compare bank FD rates

Bank fixed deposits (FDs) continue to be popular investment products not just among senior citizens, who are looking for guaranteed income, but also among investors who can't stomach risk. But overexposure to FDs is not good, and you need to assess your asset allocation and goals to decide how much money you should park in them. For instance, saving for your child's higher education that's 15 years away through FDs may not be effective as the post-tax interest rate of an FD may not give you a real return (return that's above the rate of inflation). But if you plan to take a holiday in two years, an FD can help. Before choosing an FD, you should compare the interest rates on offer. Here is a list of banks that offer the highest FD rates for deposits up to ₹1 crore over various tenures.



Interest rates (%) for fixed deposits up to ₹1 crore

	6 months to < 1 year	1 to < 2 years	2 to < 3 years	3 to < 5 years	5 years and above
DCB Bank	6.00-6.50	**6.90-7.10**	6.90-7.50	**7.00-7.10**	7.00-7.50
Jammu & Kashmir Bank	5.50-6.00	**6.55-6.65**	6.70-6.75	**6.70**	6.75
YES Bank	4.75-6.50	**6.65-7.25**	6.90-7.00	**7.00**	6.75
RBL Bank	4.75-6.05	**6.90-7.00**	7.00	**7.00**	6.70
Tamilnad Mercantile Bank	6.30-6.50	**6.60-7.25**	7.00	**6.70**	6.70
IndusInd Bank	5.75-6.25	**6.75-6.90**	7.00	**6.65-7.00**	6.50-6.65
Dhanlaxmi Bank	5.50	**6.25-7.10**	6.25-6.50	**6.50-7.25**	6.50-6.60
Axis Bank	5.50-5.75	**6.25-6.50**	6.50	**6.50**	6.50
ICICI Bank	4.50-5.50	**6.25-6.30**	6.30-6.45	**6.45-6.50**	6.50
Federal Bank	4.50-6.00	**6.25-6.65**	6.50-6.55	**6.40-6.70**	6.40
Karur Vysya Bank	6.00-7.00	**6.55-7.20**	6.55	**6.55**	6.25-6.55
Kotak Mahindra Bank	5.00-6.00	**6.35-6.55**	6.65	**6.40**	6.25
Canara Bank	5.25-5.50	**6.25-6.60**	6.25	**6.25**	6.25
City Union Bank	5.75-6.25	**6.65-7.25**	6.50	**6.25-6.50**	6.25
HDFC Bank	4.25-5.75	**6.25-6.45**	6.45	**6.40-6.50**	6.15-6.40
Indian Overseas Bank	4.50-5.5	**6.40-6.60**	6.40	**6.10**	6.10

Data taken from respective bank's website as on 12 October 2026; Only main entity of the merged banks are taken. Banks which merged with its main entity are removed from the table; The list of 16 banks is based on highest fixed deposit rates available for 5 years and above.

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Source: www.Bankbazaar.com

PENSION REFORMS HAVE A BLIND SPOT: THE ASSET-RICH, CASH-POOR GENERATION



POWER POINT

GAUTAM BHARDWAJ & PARUL SETH KHANNA

We welcome your views and comments at
mintmoney@livemint.com

India's pension reform has quietly become one of the developing world's most sophisticated. The National Pension System (NPS) runs on shared digital rails that allow the Pension Fund Regulatory and Development Authority (PFRDA) to launch new products within months. Its recent initiatives, including child accounts, a simplified variant for informal workers and phased retirement withdrawals, show a system iterating faster than almost any peer. But even the best accumulation machine cannot help one group: those already old.

For a 55-year-old informal worker, compounding has little time to work. Even if she enrolled tomorrow and saved faithfully, there would be too few years to build a meaningful pension. No payout innovation can make up for inadequate accumulation. The near-old need a different instrument: not a miracle, but a way to convert what they already own into income. And most own something substantial: their homes. Eighteen years ago, drawing on the Indian Retirement and Savings Survey 2007,tens of millions of informal workers over 50 owned homes. The assets were then worth over ₹17 trillion, or roughly a third of GDP in 2008. Many of these workers are now retired, still asset-rich and cash-poor, while their homes have only appreciated. A reverse mortgage, which provides monthly income against a home the owner continues to live in, is the natural key to unlocking that wealth.

Why reverse mortgages failed

Honesty compels the hard part: reverse mortgages have been legal in more than twenty countries for decades but have become mainstream in none. India's own 2007–08 scheme generated only a few thousand loans. The failure modes are well understood: the wish to leave the home to children, the fear of losing it, the longevity and house-price risks that force cautious pricing, the cost of verifying title and succession, and a history of mis-selling that corrodes trust. Any honest advocate must start here.

What has changed is the ground beneath the product. Digitized land records under Digital India Land Records Modernization Programme and SVAMITVA, which maps rural homes and issues property cards, are reducing title and succession checks from weeks to days. The population aged 60 or more will roughly double to about 347 million by 2050, says UNFPA's *India Ageing Report 2023*. Meanwhile, the National Housing Bank (NHB), Irdai and PFRDA have matured into capable regulators.

Lessons from abroad

The pieces now exist to redesign the product, drawing lessons from other markets. The US revived its market through the Home Equity Conversion Mortgage (HECM) programme, which provides government insurance against tail risks lenders cannot absorb. South Korea offers a similar housing pension, while Britain rebuilt trust through the Equity Release Council's mandatory advice and cooling-off period.



An Indian version could combine these ideas with a verified digital property credential to cut lender costs; state-backed insurance or reinsurance to keep rates affordable; mandatory conversion of proceeds into lifelong monthly income through a life insurer, rather than a lump sum; and independent counselling with a cooling-off period to protect borrowers and heirs.

None of this should be rushed. The next step is a small, jointly designed pilot involving NHB, PFRDA, Irdai and the Department of Financial Services, in one or two states with clean land records, to test the economics and build trust before a national rollout.

Making inheritance part of the solution

The design can even turn the strongest Indian objection, the wish to leave the house to one's children, into a feature. A well-built product will let heirs redeem the home by repaying a loan, cap what the lender can claim at the home's value, and ring-fence the rest for the estate. Framed this way, a reverse mortgage is not the surrender of an inheritance but a bridge: it lets parents live with dignity without leaning on children who are often stretched, while passing on whatever equity remains.

Reverse mortgages can convert home equity into a steady income for retirees

The fiscal logic is compelling: unlocking home equity for this cohort is far cheaper than a tax-funded old-age pension for the same millions, and lets people draw on wealth they built rather than wait on the exchequer. A pension system committed to coverage and adequacy for all cannot write off the generation the accumulation model reached too late. For them, a dignified retirement may already be sitting in their walls, if we finally design the product that lets them live on it.

Gautam Bhardwaj and Parul Seth Khanna are co-founders of Universal Pensions, Singapore.

OUR VIEW


AP

RBI's big rupee booster: all it does is buy us time

The central bank's emergency measures to shore up India's currency hint of panic and could make risk-hedging dearer. For real relief, macro dynamics need to move in the rupee's favour

The Reserve Bank of India's (RBI) emergency measures to support the rupee have boosted its value, but are unlikely to do very much beyond buying us time. On Saturday, barely three days after Governor Sanjay Malhotra declared that he thought the currency was undervalued, the central bank announced a set of new props. True, the rupee might have been trading below its 'real effective exchange rate' (REER), but markets go by supply and demand as well as sentiment, not artificial constructs like the REER, which tracks a trade-weighted basket of currencies. And the harsh fact is that today's forces of demand and supply do not favour our currency. On the contrary. For too long have successive governors said RBI does not target any level for the rupee but only manages its market volatility. Few believe that. Yet, its latest move came as a surprise. More so since RBI had not just wrapped up one of its largest ever exercises to shore up its forex reserves, it raised its policy rate last week. On Monday, the rupee rallied almost 1% against the dollar. On Tuesday, it gained another 0.4%.

Key among the measures is a special dollar window for state-run oil companies to buy dollars. This means that Indian Oil Corp, Hindustan Petroleum and Bharat Petroleum will no longer buy forex in the spot market for their imports, and to that extent, pressure on the rupee will ease. The three oil companies are estimated to require about $300 million daily to pay their crude import bills. Their heavy and recurring demand for dollars adds to buying pressure in the spot market, which weakens the rupee if it is not balanced with dollar supply. By selling oil importers dollars directly, RBI aims to moderate that weakening force and help the rupee attain stability. How long the effects last, of course, would depend on larger factors. The last time RBI hit such an emergency button was in 2013 during the 'taper tantrum,' when its clutch of actions slowed the rupee's slide temporarily. The key word here is 'temporarily.' The reality is that the domestic currency will not be relieved of pressure so long as global oil prices rule high (India imports almost 90% of its needs), global bond yields harden, capital inflows sputter and the dollar index stays high. Another significant factor in all this is the government's effort to shield fuel users from this year's oil shock. If retail prices are allowed to rise, a reduction in discretionary demand may help reduce energy imports. But that's a call for central policymakers to take.

The forex window is only one of the measures taken by RBI to bolster the rupee, which has dropped by almost 6% in 2026 so far. Among other steps, the most important is a drastic reduction—to $5 million from $100 million—of RBI's cap on the size of derivative transactions that can be done without proof of underlying exchange risk exposure. Plus, RBI barred authorized dealers from letting traders rebook cancelled rupee-linked forex derivative contracts, thereby making currency management vastly more expensive and rigid for businesses. Grumbles have arisen over a 20% forex reserve requirement placed on some derivative trades; this acts as a tax on risk mitigation in its effect and is likely to drive up hedging costs that banks will likely pass on to clients. These moves may give the rupee breathing space today, as they already seem to have, but do not address the currency's underlying stress points. For a reliably stable exchange rate, macro dynamics must shift in the rupee's favour.

THEIR VIEW

Listed debt gets six shades from India's capital markets regulator

Sebi's colour-coded bond risk gauge could do with some tweaks to prove itself useful for investors



KRISHNAN RANGANATHAN
is a former executive director, Nomura, and currently a faculty member at several B-schools.

Last week, the Securities and Exchange Board of India (Sebi) launched 'Samajh Se Investing Simple,' the newest campaign under Project Jagrook, its investor education drive. Every listed corporate bond must carry a 'Credit Risk-o-Meter,' a six-colour dial from Irish green for AAA paper, through chartreuse, neon yellow, caramel and dark orange, to red for B+ and below. It will appear in offer documents, advertisements and bond apps.

Why now? Until 2022, privately placed bonds came in ₹10 lakh lumps, which kept small savers out. Sebi cut the ticket size to ₹1 lakh in October 2022 and to ₹10,000 in 2024. A retired schoolteacher can buy a 12% non-banking financial company bond on her phone faster than she can order *biryani*.

What Sebi got right—Colours beat an alphabet soup: Few know that AA-minus sits above A-plus. Everyone knows red. Sebi uses such a dial for mutual funds, so investors have seen one before.

One scale for everyone: Instead of each app's home-made 'risk badge,' there is now one scale, built only from ratings by Sebi-registered agencies.

The toughest umpire wins: If rating agencies disagree, the meter shows the lowest rating. Global bank-capital rules are softer: given three ratings, banks may use the second-best.

Hard-won warnings: Unsecured bonds must say so in bold red. Issuers that stop cooperating with their rating agency will be flagged. Bond apps must update the dial automatically within 24 hours, with no manual overrides, and place it before the 'invest' button. Additional Tier-1 (AT-1) bank bonds must carry a warning of total loss.

Gates where paint is not enough: Since the Yes Bank wipeout of 2020, only institutions may buy new AT-1 bank bonds, and in ₹1 crore lots. The UK and Hong Kong keep ordinary savers out in much the same way. The new warning is a belt worn over braces.

The trouble, though, is the wiring.

One, a light that cannot blink: Henry Ford gave buyers the illusion of choice; Sebi is giving investors the illusion of insight. Behind the six colours lies just one rigid metric: the rating. On average, ratings sort risk well. Their failing is speed. Enron was investment grade four days before it went bust. IL&FS was AAA until August 2018 and in default by 17 September: a move from Irish green to red with no caramel stop. A rating's own early warnings, its 'negative outlook' and 'rating watch' flags, appear nowhere on the dial. The fix: add an amber flag when a rating is on negative watch, printed in the issue prospectus and turned live on bond apps thereafter. It won't catch every collapse, but it will buy savers time.

Two, adjectives in place of numbers: BBB is 'moderate credit risk' and BB 'moderate risk of default.' In plain English, these are synonyms, yet the line between investment grade and junk runs between them. The gap is anything but moderate. In Crisil's record for 2014-24, about 2 in 100 BBB-rated borrowers defaulted within three years, against 6 in 100 for BB and 15 in 10,000 for AAA. The single red band lumps B, where one in 10 defaulted, with C, where nearly three in 10 did, and D, which already has. The fix: print each band's record on the dial in plain frequencies (say, "of 100 borrowers rated like this, about 6 defaulted within three years"), draw a bold line where investment grade ends, and give "already in default" a colour of its own. Agencies already publish these figures in a Sebi-prescribed format.

Three, six boxes invite yield-chasing: Twenty rating notches are squeezed into six colours, so A-plus and A-minus both glow neon yellow. Within a colour, the bond paying the most is often the riskiest, and the colour dominates the rating printed beneath. And a rating speaks to whether you get repaid, not to whether the bond is worth its price. Economists Bo Becker and Victoria Ivashina found that US insurers, whose capital rules sorted bonds into broad rating buckets, bought the top yielding bonds in each bucket, taking extra risk without earning better returns. The colour bucket becomes a shopping aisle, and the highest number on the shelf wins. Expect apps to advertise "neon yellow at 11.5%." Fix: point the arrow at the exact notch, not merely the band, and make platforms flag any bond paying well above others of its colour, with two words: "Ask why."

Four, the meter stops at the app but misselling doesn't: Yes Bank's ₹8,415 crore AT-1 loss showed that the danger lies in who sells as much as what is sold. More than 97% of individual buyers were the bank's own customers, and a fifth had broken fixed deposits to buy. They trusted the branch desk, not an app. A bank selling its own bonds must now show the dial, but brokers, wealth managers and relationship managers selling other people's bonds need not. It is the Reserve Bank of India (RBI), not Sebi, that governs bank branches. Fix: Sebi can extend the dial to brokers and advisors on its own; only bank branches need RBI. Project Jagrook should teach what each colour leaves out.

Will Rogers is believed to have said he cared less about the return *on* his money than the return *of* his money. Bond investors need a signal for that worry. Sebi has handed them a rainbow. Now it must make sure they know what is, and isn't, at the end of it.

10 YEARS AGO


mint
Inflation at one-year low
TCS results suggest industry's struggles have worsened
Risk appetite wanes
Probe finds PACL assets are inadequate for refunds
Why Bob Dylan deserves the Nobel Prize for literature
Money transfer as easy as sending Text Messages

JUST A THOUGHT

An investment in knowledge pays the best interest.

BENJAMIN FRANKLIN

MY VIEW | MUSING MACRO

The Nobel and the endless quest for economic stability

AJIT RANADE



is senior fellow with Pune International Centre

The 2026 Nobel Prize in Economics has been awarded to Robert Hall of Stanford University and Michael Woodford of Columbia University. Their research helps explain how decisions of households and firms collectively influence inflation, employment and economic fluctuations, and how policy can moderate them. The prize marks another chapter in a century-old debate on how economies function and whether governments can stop recessions.

Keynes revolutionized economics in 1936 by arguing that economies could remain trapped in prolonged unemployment, requiring government intervention to revive demand. His ideas dominated post-war policymaking. But the oil shocks of the 1970s produced stagflation, the coexistence of high inflation and unemployment, undermining the presumed stable Phillips curve trade-off. Milton Friedman had already challenged that trade-off, and Robert Lucas subsequently led a revolt against Keynesian macroeconomics.

Lucas argued that conventional Keynesian models were unreliable because they ignored how people change their behaviour in anticipation of government policy. If people expect inflation, for instance, they adjust wages and prices accordingly. Thus began the rational expectations revolution, asking for macroeconomic theories to be grounded in individual decision-making. Others in this intellectual tradition, including Thomas Sargent, Finn Kydland and Edward Prescott, were to follow.

Hall and Woodford carried this enterprise forward, but with a twist. Hall's 1978 research challenged conventional theories of consumption. Households do not necessarily spend in proportion to current income. They consider expected lifetime income and seek to spread consumption over time. His key finding was that, under rational expectations, changes in consumption should be largely unpredictable. Only genuinely unexpected information should alter spending plans. Hall's wider work on unemployment and labour-market frictions helped connect individual behaviour with economy-wide fluctuations.

Woodford's contribution was particularly influential in monetary policy. His 2003 book *Interest and Prices* helped establish the New Keynesian framework widely used by central banks. Prices and wages do not adjust instantaneously. Hence, interest rate (policy) changes can affect output and employment. Crucially, expectations of future interest rates matter alongside current rates.

This makes central-bank credibility vital. A promise to maintain low rates can stimulate investment today, even if rates cannot fall further (the zero lower bound). But will markets believe that promise? Once the economy recovers, the central bank may be tempted to abandon its commitment. This is the problem of time inconsistency and the dilemma of rules versus discretion. Woodford gave these questions a rigorous theoretical foundation.

The work of Hall and Woodford helped revive Keynesian economics but this field still has a long way to go

There is an irony here. Lucas's revolution sought to dethrone Keynes, but the New Keynesians absorbed his mathematical methods while restoring a central role for stabilization policy. Keynes has proven remarkably resilient. Governments across the world still resort to fiscal stimulus when confronted with severe recessions.

Yet, important questions remain. Modern macroeconomic models typically assume economies fluctuate around an underlying equilibrium, albeit with imperfections. Disequilibrium economists challenge this. They argue that economies may continually lurch from one disequilibrium to another, characterized by credit rationing, involuntary unemployment and financial instability. Equilibrium may be the exception rather than the rule.

The 2008 financial crisis showed the limitations of mainstream models. In particular, models built primarily around interest rates and expectations did not adequately capture the role of banks, credit creation, liquidity and fragile balance sheets. Subsequent pandemic disruptions and supply shocks exposed further weaknesses. Elegant mathematical models do not always capture the complexity of actual economies.

These issues are relevant to India. A household dependent on uncertain wages cannot smooth consumption over a lifetime. A small enterprise denied bank credit cannot respond to a decline in interest rates. Food and fuel inflation may persist despite monetary tightening. An affluent household responds differently to interest rates and asset prices than one that's struggling to meet basic expenses.

Woodford's emphasis on credibility raises another question. The Reserve Bank of India has an inflation-targeting mandate and a monetary policy committee, half of whose members are appointed by the government. It also manages government borrowing and transfers substantial surpluses to the exchequer. With persistent fiscal pressures, the distinction between monetary independence and fiscal accommodation becomes important. Can a central bank credibly commit to its policies when financial markets perceive it as constrained by fiscal needs?

Beyond this year's Nobel Prize lie other fertile areas, including financial instability and the economics of artificial intelligence. Economic science has many unfinished tasks. Economics is not merely about mathematical elegance or intellectual consensus. It's about better anticipation and the ability to mitigate instability that threatens employment, incomes and livelihoods.

THEIR VIEW

India has been out of fashion but that could change quite quickly

Sentiment towards Indian assets is poor. The reasons are real but mostly external. Each of them can turn within 12-18 months



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Few markets are as unloved as India's right now. In the 12 months to August, the MSCI India index lost about 2% in dollar terms. The broader emerging-market index gained 36%. The Sensex is still below the peak it reached in September 2024. Talk about India these days is mostly about what it lacks. The gloom is not baseless. Three things weigh on India. None of them is of its own making.

The first is an unsettled relationship with the US. India has faced American tariffs and sanctions. Portfolio and direct investors alike see that as a risk. The second is energy. India's landed cost of crude averaged about $116 a barrel in September, after dipping to about $82 in July. Supply disruptions and higher freight and insurance costs have kept it high. The third is the absence of an "AI play." In a gold rush, the steady money is made by those who sell shovels and jeans. India has neither the AI models nor the chips and memory that go into them. Korea and Taiwan do. Their chipmakers have helped the emerging-market index close much of its long-term gap with India. Some also fear that AI will hurt India's IT services.

Each of these can change. That is the case for looking at India with fresh eyes.

Start with oil. The consensus forecast puts crude at $70 to $75 a barrel in 2027. If prices ease even part of the way, India gains more than most. A lower oil bill helps the current account, inflation and the rupee at once. We had a small preview this summer. In July and August, oil fell sharply and doubts surfaced about the AI spending spree. Foreign investors put $5.2 billion into Indian equities in those two months.

Next, the AI trade. The boom is no longer only a stock-market story. It has become a borrowing story. Spending on data centres, chips and power is expected to reach $7.6-8 trillion by 2030. About $450 billion of AI-related debt was raised this year by early September, more than double all of 2025. The Bank of England now counts AI among the risks that could strike together with others.

The arithmetic is hard to make work. Analysts expect the tech sector's yearly operating cash flow to rise by about $1.26 trillion by 2028. They expect its customers in eight other sectors to add only about $690 billion between them. Both cannot be right. Who will write the cheques? Aswath Damodaran of NYU Stern points to a deeper problem. The outcome that best justifies today's prices is one where AI replaces workers on a large scale. That same outcome would hurt jobs, spending and tax revenues, and with them the very revenues AI firms are counting on.

None of this means a crash is due on a set date. Booms often run longer than sceptics expect. A disorderly unwinding would not spare India in the first few weeks either, because fear typically hits every market. But once prices begin to reflect what AI can realistically earn, investors will look for growth that does not rest on that one bet. Few large markets offer that as clearly as India.

The third headwind, relations with Washington, is the hardest to call. An interim trade framework was agreed on in February. The direction is right, even if the pace is uncertain.

Meanwhile, India's own numbers have held up well through a hard year. Real GDP grew 7.8% in April to June, above the Reserve Bank's projection of 7%. Manufacturing grew 9.2%. Inflation in 2025-26 was the lowest in 47 years. The fiscal deficit has come down from 9.2% of GDP in 2020-21 to 4.4% in 2025-26. Tax relief, GST rationalization, rate cuts and easier regulation in 2025 built a cushion before the shock. Resilience is built in good times. Its value shows in bad times.

Bond markets have noticed. Ten-year government bond yields have risen this year in 21 of 22 major markets. India's rose by 64 basis points. Many developed countries saw theirs rise by more than 100 basis points. S&P upgraded India last year. This year, the Japan Credit Rating Agency rated India A-, its first A rating in three decades.

Now the rupee. It has weakened and that has hurt investors. But the Reserve Bank does not target a level and flexibility has done useful work. In real trade-weighted terms, the rupee fell about 17.5% from a high in November 2024 to May 2026. A competitive rupee has helped exports. India's exports of goods and services rose 15.6% in April to August—to $399 billion. Higher prices for refined fuels and strong electronics flatter the picture somewhat. Even so, manufactured exports outside petroleum and gems and jewellery are growing at double digits. Non-petroleum merchandise exports grew 14.4%. Net exports added about 3 percentage points to first-quarter growth. Trade agreements help too. The agreement with the UK came into force in July. The EU deal has been concluded, but is not yet in force. The smartphone story shows what is possible. Scale, production-linked support, trusted-partner standing and a growing component base gave India the biggest gain of any country in US smartphone imports from 2017 to 2024. This year's budget cut duties on many inputs and components to repeat that model elsewhere.

For the rupee, the outlook is sober but reasonable. Much of the adjustment has already happened. A competitive real exchange rate, steady growth and reserves well above $700 billion make for a sturdier rupee than the mood suggests. If oil eases and capital returns, the pressure on it should ease.

There are no guarantees. Oil could stay high. Ties with Washington could stay unsettled for longer. The AI boom could keep drawing money away for another year. India also has work to do. It has to turn a currency tailwind into lasting competitiveness, by taking the smartphone model to components, machinery and labour-intensive goods.

In the short run, markets follow the mood. Over the long run, they follow the fundamentals. In the 15 years to August, $100 put into Indian equities grew to $282 in dollar terms, against $239 for emerging markets. India's case did not vanish in the last two years. It was crowded out.

Investors walked away from India because it had no shovels to sell in the AI gold rush. They may come back because it has no hangover to nurse.

These are the author's personal views.

MINT CURATOR

Singapore is being shaken by a platform for perpetual futures

It will be a challenge to regulate the techno-anarchy of Hyperliquid



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Decentralized trading venues like Jeff Yan's offer instant gratification. BLOOMBERG

A crypto bro seeking to reinvent finance from first principles? That is nothing new. Many in the blockchain world want to loosen Wall Street's stranglehold on wealth creation. But when Hyperliquid Labs CEO Jeff Yan spoke on that topic in Singapore last week, there was a catch. That morning, *Financial Times* had run an article on how the Asian city-state was trying to distance itself from the new-age bourse and its most revolutionary offering: perpetual futures (or perps), which the newspaper described as the "most dangerous product in crypto."

Perps are highly leveraged gambles on equities, commodities, interest rates or crypto... basically anything with a price tag. Unlike standard futures, they never expire. Nor do they transfer ownership on any underlying asset. Traders can jump in and out in minutes or hold positions forever. On a decentralized exchange like Hyperliquid, there's no broker or clearinghouse holding the user's cash. An algorithm simply locks the collateral in smart contracts to ensure losers automatically pay winners. Those who run out of capital are liquidated.

I imagine the sheer techno-anarchism of Hyperliquid, which has made Singapore its home according to *FT*, poses a unique challenge to the city. In June, the Monetary Authority of Singapore (MAS) added the bourse to the "investor alert" list of companies that may be perceived to be regulated by it when they aren't really. "We are not aware that Hyperliquid is regulated in any major jurisdiction," the MAS told *FT*.

But so what? Any local investor who has access to a 1:1 dollar stablecoin like USDC can bet on crude oil prices over weekends when war news breaks—often courtesy of US President Donald Trump's pronouncements—while traditional commodity exchanges remain shut.

Therein lies the tension. Singapore once aimed to be Asia's digital-asset hub, but scaled back after 2022. The collapse of Sam Bankman-Fried's FTX empire—where state investor Temasek Holdings took a bath—was a wake-up call. Authorities still wanted innovation, but the bar for touching local mom-and-pop investors went up. Crypto ads were banished from the city's marquee Formula One night race.

Still, Singapore can't afford to sit out the future. Since 1968, when it beat Hong Kong to set up a market for dollar-denominated assets during Asian hours, the city has been a big beneficiary of the 'follow-the-sun' model of traditional trading. But the blockchain is threatening to end that edge by being always awake. While Singapore must embrace 24x7 markets, hosting Yan and his team invites disquieting questions about competition for Singapore Exchange Ltd.

SGX, the local exchange, launched its own perps on Bitcoin and Ethereum last year for "accredited, expert, and institutional investors." It now wants to offer these instruments to US institutional investors.

Yet SGX perps merely borrow the math of their blockchain cousins and wrap it around traditional dollar-settled contracts. Funds must still flow through standard bank accounts. That appeals to global institutions seeking crypto exposure without having to transact with counterparties whose wallets may have been used for money-laundering and sanctions-busting activities.

But for retail investors, decentralized trading venues like Hyperliquid offer what traditional exchanges never will: instant gratification. Free from identity checks and regulatory gatekeepers, Gen-Z traders can stake Hype tokens to spin up new trading pairs and speculate on Anthropic's market value long before traditional investors have even seen a draft prospectus.

Is such unbridled democratization the future of finance, or is this a return to a past riddled with lawlessness?

Stamford Raffles, who landed in the fishing village of 200 people in 1819, hoping to establish a rules-based British state on the Malayan peninsula, was annoyed by the cock fights he encountered. As Singapore grew, unregulated gambling became a major menace until 1968, when Prime Minister Lee Kuan Yew consolidated lotteries under state control. "Over my dead body," Lee famously warned Macau tycoon Stanley Ho about opening a casino.

Decades later, Singapore reluctantly permitted two casinos as part of integrated resorts to promote tourism. One of them, Marina Bay Sands, was Yan's stage last week. Standing at the heart of a tightly regulated gambling complex, the CEO pitched his permission-less betting engine. With perpetual futures having already become the hottest thing in crypto trading, his next goal, he said, was to offer options.

That's the vexing part: Singapore's third casino—one it never allowed and can't regulate—promises to keep growing. The city's conservative financial mandarins will be hard-pressed to keep any control on these modern-day cock fights. ©BLOOMBERG

MY VIEW | EX MACHINA

Human relevance in the age of AI: focus on judgement

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On the last day of their meeting in Prague in August 2006, 424 astronomers of the International Astronomical Union voted to demote Pluto from its current status. Having grown up, as so many of us have, believing that Pluto was the 9th planet in the solar system, the fact that it had been reduced to a hunk of rock came as a rude shock. The fact is that wherever there is no definitive way to verify what is what, we are forced to depend on the consensus of experts to know what the truth is.

Earlier this month, in a paper I wrote for Observe Research Foundation titled *The Absorption Frontier*, I made the argument that the reliability of AI systems was critically dependent on the extent to which their outputs can be verified. While verifiability is often deterministic and empirical, there are situations—such as was the case with the Prague Consensus—that call for it to be done by humans. If AI absorption depends on the verifiability of outputs, the domains where machines will struggle are those in which humans will remain relevant.

Coding is the best example of deterministic verification—where things either work or do not. Since software outputs can be checked instantly, AI can learn from its mistakes as it codes, improving the code it generates until it eventually excels at programming. In other, more empirical domains, truth is only observable long after the decision has been made—as with the creditworthiness of borrowers or the efficacy of medical treatment. But even when verification is delayed, it should be possible to design AI to learn and improve.

This is a lot harder to do in consensus domains, where truth is whatever qualified experts agree it is (as with the demotion of Pluto) or in adversarial domains, where outcomes are reached in response to the arguments of counterparties. In 1950, the mathematician John Nash showed that whenever two parties stand to gain by agreeing, there is always a bargain they can arrive at—but what exactly this negotiated solution ultimately ends up being depends on inputs only the parties themselves can supply. There is, as a result, no ground truth against which to check what a group of experts will agree on tomorrow or what the other side of a negotiation will be willing to accept.

That said, we must not be so bold as to presume that AI systems will never be able to do this. In 2017, a model trained on two centuries' worth of US Supreme Court decisions predicted case outcomes with over 70% accuracy. But as good as these systems are, they are, at best, making a calculated guess about a decision that has not yet been made. In every instance, it will be the judges who actually decide, and since we have no way to look into their minds, they could still rule otherwise.

As we gain experience of deploying AI at work, what all is best not automated is getting clearer

It is also tempting to believe that it should be possible to train AI agents to negotiate transactions on our behalf. For as long as there have been lawyers, we have engaged them to do precisely that—negotiate commercial and other agreements on our behalf. Surely, it should be possible to get AI to do the same. But as anyone who has done this will tell you, lawyers have to keep going back to clients for instructions, and every time the other side makes an unanticipated offer, it is the client who decides whether to accept it or push back. If the AI agents that negotiate for me behave the same way, or end up doing so, the inputs necessary for a Nash bargain will still come from me.

There will be domains where a conclusion must be reached afresh each time by the people in the room, based on what each of them brings to it. And since that conclusion cannot exist until it is reached, no AI system can learn from it in advance. Since neither consensus nor adversarial domains offer ground truths that AI can rely on to train and improve, might these be the domains where human judgment will always remain relevant?

Last month, I pointed out in this column that we train young professionals by allowing them to learn by doing. This is why skilling programmes in most disciplines are designed to have them perform relatively mundane work until they acquire the skills senior professionals need. Since this is also the sort of checkable work that AI does well, the more we incorporate AI into our professional lives, the fewer opportunities our young professionals will get to gain the experience they need to forge careers.

The solution, as I presented it in that article, was to ensure that we reserve some of this sort of work for the young professionals in our organizations—even if that means forgoing some of the efficiency gains that AI makes possible—because we know of no other way to train them.

But if it is clear that there are some domains in which AI will, for the foreseeable future, be unable to match what experienced humans bring to the table, should we not focus our training on building skills in those domains? We should design our training programmes so that young professionals can learn how experts reach agreement on contentious issues and how to hold their ground against pushback.

AI will inevitably get better at anything that can be verified, and will probably do so faster than most of us expect. But the work that will continue to elude AI is the kind that has to be agreed upon or argued over, where people still have to decide among themselves what is true. To remain relevant in the age of AI, these are the skills we will need.

The battle of the 'pro' flagship phones

Siri vs Gemini, iOS vs Android, Google vs Apple, iPhone vs Pixel. Which of the latest flagship 'pro' phones is the better option?



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The 'Pro Max' is no longer the star of the Apple show—this year, it is the iPhone Duo, a foldable smartphone, that promises to showcase the best of Apple's engineering. But that doesn't mean that the iPhone 18 Pro Max is a compromise by any measure—it comes packed, as always, with features, and one key new camera feature, at a higher starting price of ₹1,79,900.

The most expensive Pro Max version Apple has ever sold comes at a time when its direct cross-industry rival, Google's Pixel 11 Pro XL, promises similar minute improvements at much smaller price tag of ₹1,34,999. In fact, compared for price, the iPhone 18 Pro Max is closer to Google's own foldable phone—the Pixel 11 Pro Fold, at ₹1,86,999.

Which of the two, though, is the better phone? Mint spent three weeks with Apple's iPhone 18 Pro Max and Google's Pixel 11 Pro Fold (and 11 Pro) to find out.

DISPLAY

For both Apple and Google, 2026 brought little to no changes to the display and speakers on the iPhone 18 Pro Max and the Pixel 11 Pro XL/Fold. The iPhone, in fact, uses the same 6.9-inch OLED display with 120Hz smoothness, and a custom 'Ceramic Shield 2' toughened glass on top—which, in Mint's usage through a year in the iPhone 17 Pro Max, actually works. Apple's display, too, is one of the best around, producing crisp contrast and smooth motion.

While Google's displays on the Pixel 11 Pro XL and Fold are statistically brighter than before, they don't make a visible difference in the Pro XL's 6.8-inch 120Hz OLED screen. The Pixel 11 Pro Fold retains the same 8-inch panel on the inside that folds book-style, but has a visible crease down the middle. That its folding display is brighter than before shows up in indoor usage as well, but it's unclear if that's due to the software.

For display, therefore, both the iPhone 18 Pro Max and the Pixel 11 Pro XL are evenly matched.

GAMING, AI AND EVERYDAY USE

For heavy everyday use, the iPhone 18 Pro Max, with the 2nm custom Apple A20 Pro chip inside, is clearly superior even without the technical benchmarks. The iPhone 18 Pro Max sustains smoother performance with fast multitasking, and long stretches of gaming do not make it unbearably hot—matching Apple's claim of better heat management inside.

Pixel 11 Pro XL and Fold, meanwhile, also use a custom chip—Google's 3nm Tensor G6. The Tensor G6, though generationally better, does not show any apparent jump in performance. Battery consumption shows clear improvement, which is good. But, gaming for over 20 minutes makes the phone visibly stutter, and hot to boot. Surprisingly, even a 4K video edit on InShot appeared to show lags after a point.

Apple's iPhone 18 Pro Max is thus clearly the better overall performer over its Android counterpart.

Google, however, undeniably has better overall AI. As detailed by Mint last month, while Siri AI is clearly an improvement for consumer-end AI uses, Google's Gemini integration in Android 17 is simply superior software-wise. Its Rambler and Teleprompter features are also unique to the Pixel 11 lineup—giving it an edge over iOS.

However, it is important to note that AI on phones still feels optional. For instance, while users can use AI to generate wallpapers on the Pixel 11 series, this isn't necessarily a make-or-break feature. Apple's better-performing A20 Pro chip in iPhone 18 Pro Max, however, could make a major difference as both devices grow older—making the iPhone the potentially more prudent pick.

> It is important to note that the AI capabilities on both phones still feel optional. Gemini and Siri are useful, not indispensable

CAMERAS

The iPhone 18 Pro Max this year offers variable aperture on the main camera, which leads to fun and easy motion blur photos. It has four aperture or f-stops between f/1.48 and f/4, accompanied by manual shutter speed, focus, aperture and white balance control. These can be combined to create impressive long exposure and motion blur shots. Doing this does not require a steep learning curve, but users do need a basic understanding of photography fundamentals to get the most out of the features.

Google's Pixel Camera app has offered manual controls for many years now. But, though the Pixels also offer a dedicated long exposure mode, that needs a tripod in most cases. This makes the iPhone 18 Pro Max an easier, better everyday motion-blur shooter.

Google, though, took a leaf out of Apple's playbook to include Camera Looks this year—modes that hard-code colour styles into a photograph's processing to give users specific contrast, warmth and sharpness. The Pixel 11 Pro XL and Fold also offer Magic Capture—a mode where the phones record a video, and extract photographs decided by the underlying Gemini algorithm. It works surprisingly better than expected in most cases.

Magic Capture promises to be a nifty, underrated tool at hand, especially at concerts, parties, at the beach, or during family gatherings and with pets. It even produces interesting candid photographs, trumping Apple in this regard.

Overall, both phones boast the industry's very best camera systems. While the iPhone 18 Pro Max is more consistent with its colours and now motion blur, the Pixel 11 Pro XL/Fold's AI chops are quite fun.

DESIGN AND BATTERY

Both Apple and Google have retained their flagship designs without much alterations. Visually, the Pixel 11 Pro XL/Fold comes with a 'hilight' LED notification bulb at the rear. Unfortunately, its current use case is ridiculously limited. Apple, meanwhile, has done a better job of matching the phone's rear colours, and offers a smaller Dynamic Island at the top-centre of the display. This comes handy in many cases, but isn't life-altering.



Statistically, sources suggest that both the iPhone 18 Pro Max and the Pixel 11 Pro XL have smaller batteries than before. But, more efficient processing means they both offer similar battery life as previous generations. The iPhone 18 Pro Max is clearly better though, easily ending most days with nearly 20% power left even with considerably heavy use.

FINAL VERDICT

The iPhone 18 Pro Max and Pixel 11 Pro XL have very similar displays, but unique strengths otherwise. Apple offers better overall performance and battery, and easier-to-use motion blur photography thanks to its new lens. Google's Pixel 11 Pro XL gets better AI features that do make a difference, but its weaker chip could slow the phone down more than Apple's after about three years of use.

Overall, it's easier to make a case for the iPhone 18 Pro Max being the better overall flagship phone today. However, taking the price into account, it's difficult to not recommend the Pixel 11 Pro Fold (and not XL) as the pick of the lot—for the folding screen, and the fact that it doesn't compromise on features.

Safe to say, both of Apple's and Google's flagships are excellent phones, and no loyalist will jump ship for either. But, for those on the fence, the right pick would be what they prioritize—better performance and battery on the iPhone, versus better AI (and price) on the Pixel.



REVIEW I MIJITA SMARTAIR

An air purifier for bedrooms and studies

The Mijia SmartAir Purifier 4 Compact is a great air purifier for small spaces

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No longer a seasonal inconvenience, air pollution is part of everyday life thanks to year-round construction dust and traffic fumes. The Smart Air Purifier 4 Compact (₹7,999) from Xiaomi's Mijia sub-brand arrives in time to make cleaner indoor air accessible without commandeering your living room. It's small, relatively affordable and packs some smarts, but can it punch above its weight to get the job done?

At 35.5cm tall and 22cm wide, the Smart Air Purifier 4 Compact is rather easy to accommodate, and its compact dimensions allows it to fit just about anywhere, from a bedside table to a small patch of floor space. It's lightweight at 2.2kg, and can be moved between rooms easily, although for something this portable, the absence of a carry handle is a minor niggle.

Placed on the floor, the white cylindrical design is understated and functional, with a perforated lower section that draws in air and a circular grille on top that sends purified air back into the room. A touch-sensitive panel with controls for power, operating modes and display brightness, and a colour-coded air-quality indicator, round off the minimalist design. Just remember not to tuck it away behind furniture or in a tight corner; the purifier needs the air inlets and outlet unobstructed to draw air in and circulate the cleaned air out.

Having lived with Mijia products for years, I knew what to expect: a product that gets the basics right, with plenty of thoughtful little touches and smart flourishes thrown in for good measure. The Purifier 4 Compact doesn't disappoint on that front, and its smart features feel genuinely useful.Through the Xiaomi Home app, you can control the purifier remotely, switch modes, set schedules and timers, and create automations. There's support for Amazon Alexa and Google Assistant for voice control, and a child lock prevents accidental changes to the settings. The app also lets users know when the filter needs replacing, taking some of the guesswork out of maintenance.

> This is an air purifier that gets the basics right, and includes useful smart flourishes

The Purifier 4 Compact uses a three-stage filtration system—a pre-filter for larger particles such as dust and hair, a HEPA filter for finer airborne particles, and an activated carbon layer for odours—claiming to remove up to 99.97% of particles as small as 0.3 microns, including dust, smoke, pet dander and pollen. With a respectable-for-its-size particle Clean Air Delivery Rate (CADR), rated at 230 cubic metres per hour, the air purifier is most effective in smaller spaces such as bedrooms and study rooms, although Xiaomi says it can be used in rooms over 400 square feet as well. Larger rooms may benefit from a more powerful unit, while a smaller unit like this one will take longer to clean the air.

In practice, the purifier's biggest strength is its ability to work away in the background, and the 27W power rating makes it practical for extended use without resulting in a large electricity bill. Just leave it in Auto mode and its sensor adjusts the fan speed according to the detected air quality, spinning up when pollution levels rise and settling down once things improve.

Tushar Kanwar is a tech columnist and commentator.

REVIEW I VIVO V80

A useful and robust phone that scores on battery life

The Vivo V80 boasts of attractive hardware, capable cameras and dependable battery. But does it cost too much?

Abhishek Baxi
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The Vivo V-series has spent years cultivating a very specific identity. Instead of chasing benchmark records or gaming prowess, Vivo's formula has been to make the whole greater than the individual parts: Attractive hardware, capable cameras, and dependable battery life.

The Vivo V80 stays faithful to that formula. But this time around, with a starting price of ₹62,999, the V80 enters a far more unforgiving part of the market than its predecessors ever did.

PREMIUM, NOT FLASHY

The V80 is one of those phones that exudes sophistication when you pick it up. In the Horizon Blue colourway, the review unit looks understated rather than attention-seeking, which suits the phone's positioning.

The aluminium frame feels reassuringly solid, while IP68 and IP69 ratings add a degree of confidence for everyday use. The redesigned rear panel is dominated by a large camera island that stretches across much of the phone's width. It's iPhone-esque, but the implementation feels distinct enough. At just over 200g, it is not exactly lightweight, but never feels cumbersome.

Vivo V80's 6.59-inch AMOLED panel is among its strongest features—it's sharp, vibrant, and bright enough to remain easily visible outdoors. Colours pop without appearing excessively exaggerated, and content consumption is a genuine pleasure. Vivo has also upgraded the refresh rate to 144Hz. Most users will experience the display operating closer to 120Hz, which remains perfectly smooth. An ultrasonic fingerprint sensor beneath the display is a solid feature.

RETAINING ITS CAMERA USP

If there is one area where vivo consistently understands its audience, it is photography. The Vivo V80 uses a triple-camera system consisting of a 50MP main sensor, a 50MP 3x telephoto lens, and an 8MP ultrawide, with Zeiss once again lending its branding and image-tuning expertise.



The main camera produces the kind of images most people actually want from a smartphone. Colours are vivid without becoming cartoonish, and the contrast is pleasing.

Portrait photography remains a particular strength. Vivo's Zeiss portrait modes continue to be among the better implementations available on Android. Subject separation is convincing, skin tones are generally handled well, and the overall look feels more refined than gimmicky. The telephoto camera is also useful beyond portraits. Zoom shots retain plenty of detail up to reasonable ranges, making it a genuinely practical secondary camera rather than a box-ticking exercise.

The weakest camera remains the ultrawide. It is quite usable for landscapes and group shots but lags the main and telephoto cameras in detail and overall consistency. A tad underwhelming for a smartphone in this segment. Low-light performance is largely impressive. The main camera does a good job preserving detail while keeping noise under control, but that isn't a unique feature in this price segment.

For photography enthusiasts, vivo offers an array of presets and options, and it's quite fun reviewing a device that offers so much to explore. That said, not everyone will care about LUTs or AI-assisted effects, but the tools feel thoughtfully implemented.

A FAST ENOUGH SENSOR

The biggest challenge facing the Vivo V80 is performance. Powered by Qualcomms Snapdragon 7 Gen 4 processor, the phone handles everyday tasks comfortably. Apps launch quickly, multitasking is smooth, everyday social media presents no issues, and casual gaming is perfectly enjoyable. But at its price point, "fast enough" is no longer a compelling argument. Other smartphones at similar, or even lower prices, offer significantly more powerful processors.

The difference is not immediately obvious in casual use, but it becomes more apparent during heavier workloads, prolonged gaming sessions or intensive multitasking. I did experience some occasional stutters as well, particularly while using the camera app. None of this is severe enough to disrupt daily use but the Vivo V80's priorities clearly lie elsewhere.

BATTERY LIFE

Vivo's marketing push around V80 is centred around its camera prowess, but battery life is its secret weapon. Plus, despite the huge battery, the phone never feels excessively thick or heavy. Impressive, really. The massive 7,200mAh battery delivers excellent endurance. I could comfortably get through a full day and well into the next. Lighter users may find themselves stretching closer to two days between charges.

The bundled 90W charger takes a little over an hour to replenish the battery fully. It's not class-leading in 2026, but it is more than sufficient given the size of the battery.

THE VERDICT

The Vivo V80 is easy to like. Yet the price complicates the recommendation. At ₹62,999 (for the 8GB+128GB variant, the 8GB+512GB variant sells at ₹79,999), more discerning buyers will inevitably question the processor performance, camera hardware limitations, and overall value.

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